

Utah Housing Corporation

Financial Statements as of and for the
Year Ended June 30, 2025,
Combining Supplemental Schedules as of and
for the Year Ended June 30, 2025,
and Independent Auditor's Reports

UTAH HOUSING CORPORATION

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Independent Auditor's Report

To the Audit Committee
Utah Housing Corporation
West Valley City, Utah

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of the business-type activities of Utah Housing Corporation (the Corporation), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Corporation's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the financial position of the Corporation as of June 30, 2025, and the changes in its financial position and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Corporation, and to meet our other ethical requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Corporation's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Corporation's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Corporation's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, schedule of pension contributions, and the schedule of the proportionate share of the net pension liability, as listed in the table of contents, be presented to supplement the basic financial statements. Such information is the responsibility of management and although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements that collectively comprise the Corporation's basic financial statements. The supplementary financial information, as listed in the table of contents, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the supplementary information as noted above is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated September 19, 2025 on our consideration of the Corporation's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Corporation's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Corporation's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Eric Sully LLP". The signature is written in a cursive, flowing style.

Salt Lake City, Utah
September 19, 2025

**UTAH HOUSING CORPORATION
MANAGEMENT'S DISCUSSION AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2025**

This section of the Utah Housing Corporation's (the Corporation) annual financial report presents the Corporation management's discussion and analysis of the Corporation's financial performance during the fiscal year ended June 30, 2025. It is intended to be read in conjunction with the Corporation's financial statements and accompanying notes.

FINANCIAL HIGHLIGHTS

The financial highlights of the Corporation for the year ended June 30, 2025, compared with prior-year balances are as follows:

- Total cash and cash equivalents decreased \$82.6 million (-46.2%)
- Total investments increased \$913.9 million (48%)
- Total loans receivable increased \$90.7 million (11.7%)
- Bonds payable increased \$775.7 million (34%)
- Notes payable decreased \$11.1 million (-16.5%)
- Interest on loans receivable increased \$6.4 million (17.1%)
- Interest on cash and investments increased \$49.7 million (67.6%)
- Servicing revenues increased \$5.1 million (28.3%)
- Interest expense increased \$49.8 million (74.8%)
- Net fair value of investments increased \$60.5 million (623.3%)
- Total net position increased \$96.3 million (18.7%)

OVERVIEW OF THE FINANCIAL STATEMENTS

This annual financial report consists of four parts: Management's Discussion and Analysis; the Financial Statements, including Notes to the Financial Statements; Required Supplemental Information; and Combining Supplemental Schedules. The accounting and reporting policies of the Corporation conform to accounting principles generally accepted in the United States of America and follow the accrual basis of accounting as prescribed by the Governmental Accounting Standards Board (GASB). The Corporation is an independent public corporation, is self-supporting, and follows enterprise fund reporting; accordingly, the financial statements are presented using the economic resources measurement focus and the accrual basis of accounting. Enterprise fund statements offer short and long-term financial information about the activities and operations of the Corporation. These statements are presented in a manner similar to a private business, such as mortgage banking, mortgage servicing, real estate development, commercial lending, construction management, and private consulting. Summary information is presented for separate mortgage revenue bond programs in the Supplemental Schedules. In addition to the summary information presented in this report, more information is maintained through detailed accounting to control and manage designated financial transactions.

UTAH HOUSING CORPORATION
MANAGEMENT'S DISCUSSION AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2025

FINANCIAL ANALYSIS OF THE CORPORATION

The following table summarizes the changes in net position between June 30, 2025 and 2024 (in thousands):

	2025	Restated 2024	\$ Change	% Change
CURRENT ASSETS:				
Cash and cash equivalents	\$ 96,117	\$ 178,733	\$ (82,616)	(46.2%)
Investments (partially restricted)	225,112	246,331	(21,219)	(8.6%)
Current maturities of loans receivable (partially restricted)	21,407	18,903	2,504	13.2%
Interest receivable	17,441	11,339	6,102	53.8%
Derivative assets	1,281	-	1,281	100.0%
Other current assets	5,177	4,315	862	20.0%
Total current assets	366,535	459,621	(93,086)	(20.3%)
NONCURRENT ASSETS:				
Investments (partially restricted)	2,590,916	1,655,780	935,136	56.5%
Loans receivable (partially restricted)	845,096	756,882	88,214	11.7%
Net investment in capital assets	6,207	6,766	(559)	(8.3%)
Mortgage servicing rights	40,112	34,702	5,410	15.6%
Other assets	7,249	6,978	271	3.9%
Total noncurrent assets	3,489,580	2,461,108	1,028,472	41.8%
DEFERRED OUTFLOWS OF RESOURCES:				
Accumulated decrease in fair value of hedging derivatives	1,796	39	1,757	4505.1%
Pension	3,419	3,051	368	12.1%
Total deferred outflows of resources	5,215	3,090	2,125	68.8%
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	\$ 3,861,330	\$ 2,923,819	\$ 937,511	32.1%

(Continued)

UTAH HOUSING CORPORATION
MANAGEMENT'S DISCUSSION AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2025

	2025	Restated 2024	\$ Change	% Change
CURRENT LIABILITIES:				
Interest payable	\$ 49,638	\$ 22,027	\$ 27,611	125.4%
Line of credit payable	17,331	-	17,331	100.0%
Current maturities of bonds payable	303,187	305,979	(2,792)	(0.9%)
Current maturities of notes payable	21,731	22,757	(1,026)	(4.5%)
Current portion of subscription liability	307	724	(417)	(57.6%)
Other current liabilities	5,803	6,040	(237)	(3.9%)
	<u>397,997</u>	<u>357,527</u>	<u>40,470</u>	<u>11.3%</u>
NONCURRENT LIABILITIES:				
Bonds payable	2,756,309	1,977,780	778,529	39.4%
Notes payable	34,573	44,675	(10,102)	(22.6%)
Unearned revenue	176	272	(96)	(35.3%)
Net pension liability	5,503	4,402	1,101	25.0%
Subscription liability	306	186	120	64.5%
Derivative instruments	1,796	39	1,757	4505.1%
Other liabilities	52,683	24,468	28,215	115.3%
	<u>2,851,346</u>	<u>2,051,822</u>	<u>799,524</u>	<u>39.0%</u>
Total liabilities	<u>3,249,343</u>	<u>2,409,349</u>	<u>839,994</u>	<u>34.9%</u>
DEFERRED INFLOWS OF RESOURCES:				
Accumulated increase in fair value of hedging derivatives	1,281	-	1,281	100.0%
Pension	56	70	(14)	(20.0%)
	<u>1,337</u>	<u>70</u>	<u>1,267</u>	<u>1810.0%</u>
NET POSITION:				
Net investment in capital assets	5,594	5,856	(262)	(4.5%)
Restricted—expendable	240,515	161,560	78,955	48.9%
Unrestricted	364,541	346,984	17,557	5.1%
	<u>610,650</u>	<u>514,400</u>	<u>96,250</u>	<u>18.7%</u>
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	<u><u>\$ 3,861,330</u></u>	<u><u>\$ 2,923,819</u></u>	<u><u>\$ 937,511</u></u>	<u><u>32.1%</u></u>

UTAH HOUSING CORPORATION
MANAGEMENT'S DISCUSSION AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2025

The following table summarizes the changes in operating income before fair value adjustments and changes in net position between the years ended June 30, 2025 and 2024 (in thousands):

	2025	2024	\$ Change	% Change
OPERATING REVENUES:				
Interest on loans receivable	\$ 44,234	\$ 37,787	\$ 6,447	17.1%
Interest on cash and investments	123,274	73,551	49,723	67.6%
Servicing revenues	23,007	17,939	5,068	28.3%
Gain on sale of loans	16,228	17,885	(1,657)	(9.3%)
Other revenues	7,827	7,848	(21)	(0.3%)
Total operating revenues (not including fair value adjustments)	214,570	155,010	59,560	38.4%
OPERATING EXPENSES:				
Interest	116,301	66,517	49,784	74.8%
Salaries and benefits	17,005	15,069	1,936	12.8%
General operating expense	7,255	8,015	(760)	(9.5%)
Loan servicing fees	2,395	2,028	367	18.1%
Amortization of other assets	15,440	14,116	1,324	9.4%
Bond issuance expenses	7,176	7,461	(285)	(3.8%)
Net provision for loan losses	2,314	1,664	650	39.1%
Depreciation and amortization of capital assets	1,245	1,237	8	0.6%
Total operating expenses	169,131	116,107	53,024	45.7%
OPERATING INCOME BEFORE FAIR VALUE ADJUSTMENTS	45,439	38,903	6,536	16.8%
Net increase in fair value of investments	50,811	(9,710)	60,521	623.3%
CHANGE IN NET POSITION	96,250	29,193	67,057	229.7%
NET POSITION—Beginning of year	514,400	485,207	29,193	6.0%
NET POSITION—End of year	\$ 610,650	\$ 514,400	\$ 96,250	18.7%

OTHER FINANCIAL ANALYSIS

The Corporation uses multiple sources of capital resources to fund its affordable housing programs. These sources include both tax-exempt and taxable Mortgage Revenue Bonds (MRBs), a tax-exempt Mortgage-Backed Security (MBS) structure called Tax Exempt Mortgage Securities (TEMS), issuing MBS through Ginnie Mae and Freddie Mac programs, and cash window sales to Freddie Mac.

UTAH HOUSING CORPORATION
MANAGEMENT'S DISCUSSION AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2025

The current-year operations reflect the Corporation's ability to optimize its alternative sources of capital for its affordable housing programs. The Corporation produced \$1.45 billion of new single-family loans during the fiscal year as compared to \$1.27 billion of loans in the prior year. These loans were funded by a variety of capital sources and represent a best execution approach to capital optimization. The Corporation sold \$1.37 billion of loans as Ginnie Mae (GNMA) MBS including repurchased loans from our loss mitigation process. Additionally, \$79.0 million of loans were sold as Federal Home Loan Mortgage Corporation (FHLMC) whole loans. This includes \$595.5 million taxable MRBs and \$291.5 million tax-exempt MRBs.

Operating income before fair value adjustments for the fiscal year ended June 30, 2025 was \$45.4 million, an increase of \$6.5 million from the prior year. This growth was driven primarily by the interest rate environment, which boosted interest income on both loans receivable and the Corporation's cash and investment holdings. Servicing revenues also rose as the volume of loans being serviced continued to expand.

UHC's shift toward greater use of bonds and bond issuance accelerated in fiscal year 2025 as market conditions became increasingly favorable. While continuing to utilize mortgage-backed securities (MBS) as part of its investment strategy, the Corporation increased the proportion of its investment portfolio allocated to bonds to capitalize on attractive long-term financing rates and diversify revenue streams. The results of this approach are evident in the 48% increase in total investments, the 34% increase in bonds payable, and the corresponding rise in interest revenue generated from the expanded investment base. These benefits were partially offset by higher interest expense, reflecting both the increased volume of debt outstanding and the impact of higher interest rates on bonds payable during the fiscal year.

The Corporation also continues to evaluate the allowance for loan loss reserves on an annual basis, as it relates to its uninsured second mortgage and repurchased loan portfolio. The allowance of 2.5% at June 30, 2024 remains sufficient for the second mortgages portfolio for June 30, 2025.

The Corporation experienced a change in financial position caused by an increase in the valuation of its MBS portfolio. The Corporation's Fair Market Value (FMV) adjustment for the fiscal year increased revenues by \$54.6 million. The Corporation's MBS investments are held within its single-family bond programs, and are valued on its Statement of Net Position at FMV. These investments are matched with the outstanding TEMS and MRBs and will ultimately be collected at the full principal amount of the underlying mortgages. Thus, the current year FMV adjustment will later be reflected as losses on financial statements as payments are received at par.

The Corporation's quality loan portfolio of federally insured mortgage loans and large cash and investment balances represents its ongoing financial strength. The following two key ratios used by rating agencies to evaluate the industry reaffirms that the Corporation remains financially strong.

Adjusted Debt to Equity Ratio (defined as total liabilities divided by the total net position) is 5.32. This ratio is interpreted as having \$5.32 of debt for every dollar of equity. The Corporation's ratio is higher than last year's 4.68, due to its ongoing shift in capital structure from TEMS and MBS one-time premiums to MRB structure bonding, which generates interest income spread over time.

Net Interest Spread Ratio (defined as total interest revenues, less interest expense divided by total interest revenues) is 30.6%. This ratio is down from 40.3% in the prior year. This reflects the higher cost of capital of the single-family debt in a rising interest rate environment.

**UTAH HOUSING CORPORATION
MANAGEMENT'S DISCUSSION AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2025**

The fiscal year general and administrative budget of \$19.7 million was adequate to fund operations.

DEBT ADMINISTRATION

At fiscal year end June 30, 2025, the Corporation had total debt outstanding of \$3.1 billion, an increase of \$765 million or 33% during the fiscal year, as shown in the table below. More detailed information about the Corporation's debt is presented in Notes 11 and 13 to the financial statements.

The following table summarizes the changes in debt between June 30, 2025 and 2024 (in thousands):

	2025	2024	% Change
Notes payable	\$ 56,304	\$ 67,432	(16.5%)
Taxable bonds payable	1,207,882	647,316	86.6%
Subordinate General Obligation (GO) bonds payable	26,475	27,665	(4.3%)
All other tax-exempt bonds payable	<u>1,825,139</u>	<u>1,608,778</u>	<u>13.5%</u>
Total debt	<u>\$ 3,115,800</u>	<u>\$ 2,351,191</u>	<u>32.5%</u>

All bonds and debt issued by the Corporation, except general obligation bonds, are special obligations of the Corporation and are payable solely from the designated revenues and assets derived from the proceeds of the bonds and are not legal obligations of the State of Utah or any other political subdivision thereof.

CONTACTING THE CORPORATION'S FINANCIAL MANAGEMENT

This financial report is designed to provide the citizens of Utah, our constituents, and investors with a general overview of the Corporation's finances and to demonstrate the Corporation's financial accountability over its resources. If you have questions about this report or need additional financial information, contact the Chief Financial Officer at Utah Housing Corporation, 2479 Lake Park Blvd., West Valley City, UT 84120, call +1 801 902 8200 or visit our website at: www.utahhousingcorp.org.

UTAH HOUSING CORPORATION

STATEMENT OF NET POSITION AS OF JUNE 30, 2025 (In thousands)

ASSETS AND DEFERRED OUTFLOWS OF RESOURCES

CURRENT ASSETS:

Cash and cash equivalents	\$ 96,117
Investments (partially restricted, Note 3)	225,112
Current maturities of loans receivable (partially restricted, Note 6)	21,407
Interest receivable	17,441
Derivative assets (Note 14)	1,281
Other current assets	5,177

Total current assets	366,535
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NONCURRENT ASSETS:

Investments (partially restricted, Note 3)	2,590,916
Loans receivable—net of allowance (partially restricted, Note 6)	845,096
Capital assets (Note 8)	6,207
Mortgage servicing rights (Note 9)	40,112
Other assets	7,249

Total noncurrent assets	3,489,580
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Total assets	3,856,115
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DEFERRED OUTFLOWS OF RESOURCES:

Accumulated decrease in fair value of hedging derivatives (Note 14)	1,796
Pension (Note 16)	3,419

Total deferred outflows of resources	5,215
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TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	\$ 3,861,330
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(Continued)

UTAH HOUSING CORPORATION

STATEMENT OF NET POSITION AS OF JUNE 30, 2025 (In thousands)

LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION

CURRENT LIABILITIES:

Interest payable	\$ 49,638
Line of credit payable (Note 10)	17,331
Current maturities of bonds payable (Note 11)	303,187
Current maturities of notes payable (Note 13)	21,731
Current portion of subscription liability	307
Other current liabilities	5,803
Total current liabilities	397,997

NONCURRENT LIABILITIES:

Bonds payable, net of current maturities (Note 11)	2,756,309
Notes payable, net of current maturities (Note 13)	34,573
Unearned revenue	176
Derivative instruments (Note 14)	1,796
Net pension liability (Note 16)	5,503
Subscription liability, net of current portion (Note 15)	306
Other noncurrent liabilities	52,683
Total noncurrent liabilities	2,851,346

Total liabilities	3,249,343
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DEFERRED INFLOWS OF RESOURCES:

Accumulated increase in fair value of hedging derivatives (Note 14)	1,281
Pension (Note 16)	56
Total deferred inflows of resources	1,337

NET POSITION:

Net investment in capital assets	5,594
Restricted—expendable	240,515
Unrestricted	364,541
Total net position	610,650

TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION

\$ 3,861,330

The accompanying notes are an integral part of these financial statements.

UTAH HOUSING CORPORATION

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION FOR THE YEAR ENDED JUNE 30, 2025 (In thousands)

OPERATING REVENUES:	
Interest on loans receivable	\$ 44,234
Interest on cash and investments	123,274
Servicing revenues	23,007
Gain on sale of loans	16,228
Other revenues	7,827
Net increase in the fair value of investments	<u>50,811</u>
Total operating revenues	<u>265,381</u>
OPERATING EXPENSES:	
Interest	116,301
Salaries and benefits	17,005
General operating expenses	7,255
Loan servicing fees	2,395
Amortization of mortgage servicing rights	15,440
Bond issuance expenses	7,176
Net provision for loan losses	2,314
Depreciation and amortization of capital assets	<u>1,245</u>
Total operating expenses	<u>169,131</u>
CHANGE IN NET POSITION	96,250
NET POSITION—Beginning of year	<u>514,400</u>
NET POSITION—End of year	<u>\$ 610,650</u>

The accompanying notes are an integral part of these financial statements.

UTAH HOUSING CORPORATION

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2025 (In thousands)

CASH FLOWS FROM OPERATING ACTIVITIES:	
Cash received from interest on loans receivable	\$ 43,102
Cash received from payments on loans receivable	121,475
Cash received from loan servicing revenues	23,007
Cash received from other revenues	7,861
Cash received from sale of loan securities	1,463,103
Purchase of loans receivable	(1,633,765)
Purchase of mortgage servicing rights	(20,849)
Cash payments for servicing fees	(2,395)
Cash payments for general operating expenses	(9,309)
Cash payments to employees for salaries and benefits	(16,331)
Net cash used in operating activities	(24,101)
CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES:	
Proceeds from bonds payable	924,448
Proceeds from revolving credit agreement	62,977
Proceeds from notes payable	7
Principal paid on bonds payable	(143,763)
Principal paid on revolving credit agreement	(45,646)
Principal paid on notes payable	(10,803)
Interest paid on bonds payable, notes payable, and revolving credit agreement	(93,557)
Cash payments for bond issuance costs	(7,176)
Cash payments made on interest rate swap agreements	(4)
Net cash provided by non-capital financing activities	686,483
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:	
Purchases of capital assets	(95)
Net cash used in capital and related financing activities	(95)
CASH FLOWS FROM INVESTING ACTIVITIES:	
Purchase of investments	(2,294,356)
Proceeds from sales and maturities of investments	1,431,155
Interest and dividends on investments	118,298
Net cash used in investing activities	(744,903)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(82,616)
CASH AND CASH EQUIVALENTS—Beginning of year	178,733
CASH AND CASH EQUIVALENTS—End of year	\$ 96,117

(Continued)

UTAH HOUSING CORPORATION

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2025 (In thousands)

RECONCILIATION OF OPERATING LOSS TO NET CASH	
PROVIDED BY OPERATING ACTIVITIES—Operating income	\$ 96,250
Adjustments to reconcile operating loss to net cash used in operating activities:	
Depreciation and amortization	1,245
Interest on cash and investments	(123,268)
Net increase in the fair value of investments	(50,811)
Interest expense	116,301
Bond issuance costs	7,176
Provision for loan losses	2,314
Changes in operating assets and liabilities:	
Increase in receivables	(93,012)
Increase in other assets (current and non-current)	(1,038)
Increase in mortgage servicing rights	(5,410)
Increase in other liabilities	24,793
Increase in net pension liability	1,101
Decrease in deferred inflows/outflows for pensions	354
Decrease in unearned revenue	(96)
Total adjustments	<u>(120,351)</u>
NET CASH USED IN OPERATING ACTIVITIES	<u>\$ (24,101)</u>

The accompanying notes are an integral part of these financial statements.

UTAH HOUSING CORPORATION

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEAR ENDED JUNE 30, 2025

1. DESCRIPTION OF THE CORPORATION AND PROGRAMS

Utah Housing Corporation (the “Corporation”), previously known as Utah Housing Finance Agency, was created in 1975 by the Utah Legislature under the provisions of Part 9, Chapter 4, Title 9 of the Utah Code, Annotated 1953, as amended (the “Act”). The Act empowers the Corporation, among other things, to issue bonds and other obligations, and to purchase mortgage loans in furtherance of its purpose of providing safe and sanitary housing for persons of limited income residing in the State of Utah. The principal amount of bonds and other obligations outstanding is not limited by the Act.

The enabling legislation, along with bond indentures and bond resolutions adopted by the Corporation, contains specific provisions pertaining to (a) the use of the proceeds from the sale of notes and bonds, (b) the application of pledged receipts and recoveries of principal from mortgages, and (c) the creation of certain funds along with the accounting policies of such funds.

The Corporation has no taxing authority. Bonds and obligations issued by the Corporation do not constitute a debt of the State of Utah or any political subdivision thereof.

The Corporation has divided its operations into specific fund groups, as follows:

Operating Fund—This fund is primarily used to account for the operating expenses and general administration of the Corporation. Resources to operate the Corporation are provided from servicing net revenues, other revenues, and transfers from unrestricted single-family programs.

Single-Family Mortgage Program Funds—These funds are established to track and maintain the various single-family programs of the Corporation. This includes the funds established under the Single-Family Mortgage Revenue Bond (MRB) Resolutions adopted at various dates, warehoused loans, sale and issuance of mortgage-backed securities, repurchased loans from mortgage-backed securities, and the Corporation’s second mortgage program. The bond programs account for proceeds from the sale of the Single-Family MRBs, the debt service requirements of the bond indebtedness, and the mortgage loans on eligible single-family housing being financed from bond proceeds, as well as loans and corresponding notes payable from the Community Reinvestment Act (CRA) participation program. First mortgage loans are insured by private mortgage insurance, Federal Housing Administration, or are guaranteed by the Veterans Administration or a Government Sponsored Enterprise (GSE) through a risk sharing agreement.

The Corporation exercises its authority, granted by the Internal Revenue Code, to issue tax-exempt MRBs to provide funds for the purchase of mortgage loans to be made to finance the acquisition of single-family residences in the State of Utah by households of low and moderate income. The Corporation has also issued various MRBs that are taxable.

Housing Development Funds—These funds are used to account for funds to assist in financing difficult-to-develop housing. Those activities include the acquisition, development, financing of new construction or rehabilitation of transitional housing, permanently affordable rental housing for very low-income households, and others with special housing needs. In addition, these funds are used to

make construction and long-term loans for affordable housing developments throughout Utah.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting—The accounting and reporting policies of the Corporation conform with accounting principles generally accepted in the United States of America and follow the accrual basis of accounting as prescribed by the Governmental Accounting Standards Board (GASB). The Corporation uses the economic resources measurement focus and the accrual basis of accounting.

Financial activities of the Corporation are recorded in funds established under various bond resolutions. The administrative and operational activities, including the operating expenses of various programs, are recorded in the general operating fund and are not allocated to the various funds, except for fiduciary and other miscellaneous expenditures.

Cash and Cash Equivalents—Cash and cash equivalents consist principally of cash deposits, sweep account investments in money market funds, and investment in the Utah State Public Treasurer's Investment Fund (PTIF).

Investments—Investments, except for guaranteed investment contracts (GICs) with insurance companies, are presented at fair value. The fair value of investments is based on published market prices and quotations from major investment brokers at current exchange rates, as available. GICs are recorded at current contract value.

Loans Receivable—Loans receivable are carried at the unpaid principal balance outstanding, less the allowance for loan losses.

Allowance for Loan Losses—The allowance for loan losses is a reserve against current operations based on management's estimate of expected future loan losses. Management's estimate considers such factors as the payment history of the loans, guarantees, mortgage insurance, historical loss experience, and overall economic conditions. Based on the review of the factors, a total reserve amount is calculated and a provision is made against current operations to reflect the estimated balance.

Interest Receivable—Interest on loans and investments is recognized as earned.

Capital Assets—Capital assets are recorded at historical cost at the date of acquisition. The Corporation's capitalization policy includes all items with a unit cost of \$5,000 or more and an estimated useful life of greater than one year. Office equipment, furniture and fixtures, and vehicles are depreciated using the straight-line method over their estimated useful lives of 3 to 7 years. The building is depreciated using the straight-line method over an estimated useful life of 40 years. Subscription-based information technology arrangements are recorded at the present value of payments expected to be made during the agreement term. The Corporation uses a discount rate between 2.82% and 5.03%, which is based on the Corporation's incremental borrowing rate at the time of the arrangement inception.

Bond Financing Costs—Costs of issuing bonds are expensed as they are incurred.

Bond Discounts and Premiums—Discounts and premiums on bonds payable are amortized to interest expense over the lives of the respective bond issues using the effective interest method.

Derivative Instruments—The Corporation enters into various interest rate swap contracts and forward sales contracts as part of its overall funding strategy. The objective of these financial instruments is to increase the volume of funding available to purchase qualified homes under the Corporation's low- to

moderate-income programs. The Corporation has recorded the fair market value of its derivative investments on the financial statements and has evaluated and measured their effectiveness. The Corporation's interest rate swaps are hedging derivative instruments under GASB No. 53, as all swaps have been deemed effective.

Transfers—The Corporation may make transfers among the various funds to meet the cash flow requirements of the individual programs or to account for equity and working capital contributions. The Corporation may also contribute amounts from the operating funds to provide assistance to certain bond issues or transfer from unrestricted single-family programs to provide resources for the Corporation's general and administrative expenses.

Mortgage Loan Servicing—Mortgage loan servicing fees paid to the general operating fund are based on a stipulated percentage of the outstanding loan principal balances being serviced. Costs associated with the acquisition of loan servicing rights through the purchase of servicing contracts or bulk loan purchases from external mortgage servicers are deferred and amortized over the estimated lives of loans being serviced.

Use of Estimates—The preparation of these financial statements required the use of estimates and assumptions by management in determining the entity's assets, deferred outflows of resources, liabilities, deferred inflows of resources, revenues, and expenses. Actual results could differ materially from these estimates and assumptions.

Restricted Assets—Assets whose use is restricted for a specific purpose are disclosed in the financial statements. When both restricted and unrestricted resources are available for use, it is the Corporation's policy to use restricted resources first, then unrestricted as they are needed.

Pensions—For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Utah Retirement Systems Pension Plan (URS) and additions to/deductions from URS's fiduciary net position have been determined on the same basis as they are reported by URS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value. Refer to note 16 for additional information.

Deferred Outflows/Inflows of Resources—In addition to assets, financial statements will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to future periods and will not be recognized as an outflow of resources (expense) until then. In addition to liabilities, the financial statements will sometimes report a separate section for *deferred inflows of resources*. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to future periods and will not be recognized as an inflow of resources (revenue) until that time.

Recently Adopted Accounting Standards—In fiscal year 2025, the Corporation implemented GASB Statement No. 101, *Compensated Absences*, which updates the recognition and measurement guidance for leave benefits. The adoption of this standard did not have a material effect on the Corporation's compensated absence liabilities. The Corporation also implemented GASB Statement No. 102, *Certain Risk Disclosures*, which requires disclosure of certain risks that could affect the provision of services or the ability to meet obligations. Implementation of GASB 102 did not necessitate any additional risk disclosures in the accompanying financial statements.

3. CASH AND INVESTMENTS

Cash and investments at June 30, 2025, are summarized as follows (in thousands):

	Operating	Single-Family	Housing Development	Total
Cash and cash equivalents	\$ 14,426	\$ 35,287	\$ 46,404	\$ 96,117
Investments	<u>-</u>	<u>2,816,028</u>	<u>-</u>	<u>2,816,028</u>
Total	<u>\$ 14,426</u>	<u>\$ 2,851,315</u>	<u>\$ 46,404</u>	<u>\$ 2,912,145</u>

Cash deposits at June 30, 2025, are summarized as follows (in thousands):

Fund	Bank Balances	Book Balances
Operating	\$ 22,220	\$ 20,208
Single-Family	18,628	18,664
Housing Development	<u>73</u>	<u>73</u>
Total	<u>\$ 40,921</u>	<u>\$ 38,945</u>

The Corporation also invests in the Utah Public Treasurer's Investment Pool (PTIF), which is a voluntary external local governmental investment pool managed by the Utah State Treasurer's Office and is audited by the Office of the State Auditor. As of June 30, 2025, the amount invested was \$57.2 million. No separate report has been issued for the PTIF. The PTIF is not registered with the Securities and Exchange Commission (SEC) as an investment company and is not rated. The PTIF is authorized and regulated by the Utah Money Management Act (Utah Code Title 51 and Chapter 7). The PTIF invests in high-grade securities that are delivered to the custody of the Utah State Treasurer, assuring a perfected interest in the securities; therefore, there is very little credit risk except in the most unusual and unforeseen circumstances. The maximum weighted-average life of the portfolio does not exceed 90 days. Deposits in the PTIF are not insured or otherwise guaranteed by the State of Utah, and participants share proportionally in any realized gains or losses on investments. The PTIF operates and reports to participants on an amortized cost basis. The income, gains, and losses, net of administration fees, of the PTIF are allocated to participants on the ratio of the participant's share of the total funds in the PTIF based on the participant's average daily balance. The PTIF allocates income and issues statements on a monthly basis. Twice a year, at June 30 and December 31, which are the accounting periods for public entities, the investments are valued at fair value and participants are informed of the fair value valuation factor. Additional information is available at the Utah State Treasurer's Office.

Investments—As of June 30, 2025, the Corporation had the following investments and maturities (in thousands):

Investment Type	Investment Maturities (in Years)				
	Fair Value	Less Than 1	1–5	6–10	More Than 10
Money market mutual funds	\$ 225,112	\$ 225,112	\$ -	\$ -	\$ -
Guaranteed investment contracts	7,573	-	-	7,573	-
U.S. agency mortgage backed securities	2,583,343	-	31	374	2,582,938
Total	<u>\$ 2,816,028</u>	<u>\$ 225,112</u>	<u>\$ 31</u>	<u>\$ 7,947</u>	<u>\$ 2,582,938</u>

Restricted Investments—\$2,687,593 of single-family investments as of June 30, 2025, are restricted under bond indentures or other debt agreements, or are otherwise pledged as collateral for borrowings.

Interest Rate Risk—The Corporation’s policy for investment maturities is determined by various bond indentures and bond resolutions adopted by the Corporation. Excess cash is invested in the PTIF.

Custodial Credit Risk—Custodial credit risk for investments is the risk that, in the event of failure of the counter party, the Corporation will not be able to recover the value of the investment in the possession of an outside party. The Corporation does not have a formal policy for custodial credit risk.

The Corporation’s deposits at times exceed federally insured limits. At June 30, 2025, the Corporation had uninsured deposits of \$21,590,091. All other cash deposits were insured or collateralized as of June 30, 2025.

Credit Risk—Investments for each bond issue are those permitted by the various bond indentures and bond resolutions adopted by the Corporation, which also enable the underlying bonds to maintain their credit ratings. The investment activities are not subject to the State Money Management Act. As of June 30, 2025, the Corporation held investments in money market mutual funds rated AAA by Standard & Poor’s or Fitch, and Aaa by Moody’s Investors Service. The underlying investments of the Corporation’s sweep accounts are invested in a money market mutual fund that is rated AAA by Standard & Poor’s or Fitch, and Aaa by Moody’s Investors Service. The Corporation’s investments in Fannie Mae (FNMA) and Ginnie Mae (GNMA) securities are unrated and uninsured; however, the investment in FNMA securities are guaranteed to the MBS trust that the trust will have sufficient funds to ensure that investors will receive monthly payments of principal and interest, whether or not collected from the borrower, and GNMA MBS are guaranteed by the full faith and credit of the federal government. The Corporation’s remaining investments are uninsured and unrated.

Concentration of Credit Risk— The Corporation does not place a limit on the amount that may be invested in a single issuer. As of June 30, 2025, the Corporation held more than 5% of its total investments in GNMA mortgage-backed securities and Federated Hermes money market funds, which comprised approximately 92% and 8% of the investment portfolio, respectively.

4. FAIR VALUE MEASUREMENTS

The Corporation categorizes their value measurements within the fair value hierarch established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the investment or derivative instrument and gives the highest priority to

unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

Level 1—Unadjusted quoted prices for identical instruments in active markets

Level 2—Quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations in which all significant inputs are observable.

Level 3—Valuations derived from valuation techniques in which significant inputs are unobservable.

Investments that are measured at fair value using the net asset value per share (or its equivalent) as a practical expedient are not classified in the fair value hierarchy.

In instances where inputs used to measure fair value fall into different levels in the fair value hierarchy, fair value measurements in their entirety are categorized based on the lowest level input that is significant to the valuation.

Investments in short-term money market-type securities and certificates of deposit are reported at cost plus accrued interest, which approximates fair value.

Debt securities are comprised of investments in mortgage-backed securities (MBS) issued under U.S. Agencies (FNMA and GNMA). The MBS are valued using a matrix pricing technique. Matrix pricing is used to value securities based on the securities relationship to benchmark quoted prices. Index-linked securities are valued by multiplying the external market price feed by the applicable day's Index Ratio. Level 2 securities have non-proprietary information that was readily available to market participants, from multiple independent sources, which are known to be actively involved in the market.

The following table summarizes Level 1, 2 and 3 financial assets and liabilities measured at fair value at June 30, 2025 in thousands):

	Fair Value			
	June 30, 2025	Level 1	Level 2	Level 3
Investment type:				
Money market mutual funds	\$ 225,112	\$ -	\$ 225,112	\$ -
U.S. agency mortgage-backed securities	<u>2,583,343</u>	<u>-</u>	<u>2,583,343</u>	<u>-</u>
 Total	 <u>\$ 2,808,455</u>	 <u>\$ -</u>	 <u>\$ 2,808,455</u>	 <u>\$ -</u>
 Hedging derivative – Interest rate swap	 \$ (138)	 \$ -	 \$ (138)	 \$ -
Derivatives—Forward sale agreements	<u>(377)</u>	<u>-</u>	<u>(377)</u>	<u>-</u>
 Total	 <u>\$ (515)</u>	 <u>\$ -</u>	 <u>\$ (515)</u>	 <u>\$ -</u>

5. BOND RESERVE FUNDS

A significant portion of investments in the Single-Family Bond Program Funds are held by trustees and are restricted as to use as required by the various bond resolutions (see Note 3). Such restricted assets are included in funds and accounts within the program funds as established by the bond resolutions. Such funds typically include, among others, bond proceed funds, revenue funds, recovery of principal funds, debt service funds, redemption funds, and asset accumulation funds.

In addition to the funds referred to above, the resolutions provide for a debt service reserve fund and, in some cases, a mortgage reserve fund or interest reserve fund. The reserve requirements are defined in the bond documents based on maximum annual debt service requirements or some percentage of bonds outstanding for the debt service reserve fund and some percentage of mortgages outstanding for the mortgage reserve fund.

As of June 30, 2025, these reserve requirements and the resulting related balance of investments was as follows (in thousands):

	Minimum Requirement	Balance
Single-family mortgage bond funds	<u>\$ 18,585</u>	<u>\$ 20,323</u>

6. LOANS RECEIVABLE

As of June 30, 2025, loans receivable consisted of the following (in thousands):

	Current Maturities	Long-Term Portion	Total
Single-family mortgage purchase funds	\$ 21,082	\$ 827,911	\$ 848,993
Multi-family risk share loan	28	1,954	1,982
Housing development funds	297	21,903	22,200
Allowance for loan losses	-	(6,672)	(6,672)
Total	<u>\$ 21,407</u>	<u>\$ 845,096</u>	<u>\$ 866,503</u>

The weighted-average mortgage rates for the loans receivable were as follows as of June 30, 2025:

Loan Type	Rate
Single-family mortgage purchase funds	5.79%
Multi-family risk share loan	5.95%
Housing development funds	2.55%

The Corporation issues bonds and note payables and applies the proceeds to fund the purchase of qualified loans originated from certified lenders. The receipt of payments from these loans is restricted

principally for the purpose of paying the related principal and interest. Of the total loans receivable balance, \$411,081 of the single-family program loans are restricted under bond indentures or other debt agreements or are otherwise pledged as collateral for borrowings as of June 30, 2025.

The Corporation had \$1,037,000 in loans that have completed the foreclosure proceedings as of June 30, 2025 and are in the process of being conveyed to the Department of Housing and Urban Development. The amount is included in the Single-Family Mortgage Program Funds loans receivable.

7. LOANS SOLD WITH RISK OF REPURCHASE

During the year ended June 30, 2025, the Corporation sold no mortgage loans with full recourse to any financial institution. During the year ended June 30, 2025, the Corporation sold no mortgage loans with repurchase risk under the UBS Community Reinvestment Act (CRA) Agreement. As of June 30, 2025, the unpaid principal balance on loans sold with repurchase risk was \$54,862,000, of which \$54,813,000 is Federal Housing Administration (FHA) insured. The Corporation did not repurchase any loans in the FNMA program. The Corporation repurchased 17 loans totaling \$5,016,000 in the UBS CRA program and 3 loans totaling \$634,000 in the AMEX CB program during the fiscal year.

During the year ended June 30, 2025, the Corporation sold no loans under the FNMA risk share program and \$78,580,000 under the FHLMC risk share program. Loans sold under this program bear repurchase risk during the first year upon occurrence of certain events. The Corporation repurchased no loans in the FNMA or FHLMC risk share program during the fiscal year.

8. CAPITAL ASSETS

Capital asset activity for the year ended June 30, 2025, was as follows (in thousands):

	Beginning Balance	Increases	Decreases	Ending Balance
Capital assets—not being depreciated—land	\$ 1,472	\$ -	\$ -	\$ 1,472
Total capital assets—not being depreciated	1,472	-	-	1,472
Capital assets—being depreciated/amortized:				
Buildings and improvements	5,945	95	-	6,040
Furniture and fixtures	733	-	-	733
Equipment	3,354	-	(604)	2,750
Vehicles	155	-	-	155
Subscriptions	2,673	591	(1,022)	2,242
Total capital assets being depreciated/amortized	12,860	686	(1,626)	11,920
Less accumulated depreciation/amortization for:				
Buildings and improvements	(2,514)	(147)	-	(2,661)
Furniture and fixtures	(642)	(40)	-	(682)
Equipment	(2,737)	(226)	604	(2,359)
Vehicles	(15)	(25)	-	(40)
Subscriptions	(1,658)	(807)	1,022	(1,443)
Total accumulated depreciation/amortization	(7,566)	(1,245)	1,626	(7,185)
Total capital assets—being depreciated/amortized—net	5,294	(559)	-	4,735
Capital assets—net	\$ 6,766	\$ (559)	\$ -	\$ 6,207

9. MORTGAGE LOAN SERVICING

The Corporation's mortgage servicing department serviced a total of 35,497 loans with unpaid principal balances of \$5,997,710,000 as of June 30, 2025. Escrow cash balances for these loans were \$61,607,000 at June 30, 2025. These escrow balances are not included in the accompanying financial statements.

During the year ended June 30, 2025, the Corporation purchased and capitalized loan servicing rights of \$20,849,000 for \$1,449,912,000 of loans. Mortgage servicing rights are capitalized at the time a loan is purchased and amortized over a 7-year useful life. The Corporation also amortized \$15,440,000 of

servicing rights during the year ended June 30, 2025. Mortgage servicing rights (net of accumulated amortization) totaled \$40,112,000 on June 30, 2025.

During the year ended June 30, 2025, the Corporation issued 224 GNMA loan pools with security proceeds of \$1,365,857,000. Additionally, the Corporation was servicing 971 GNMA loan pools with an outstanding security balance of \$4,961,844,000 as of June 30, 2025.

Additionally, during the year ended June 30, 2025, the Corporation issued no FNMA securities under the FNMA risk share program. As of June 30, 2025, the Corporation was servicing \$35,546,000 of FNMA securities.

During the year ended June 30, 2025, the Corporation issued \$78,580,000 of FHLMC securities under the FHLMC HFA Advantage program and did not issue any FHLMC securities under the FHLMC risk share program. As of June 30, 2025, the Corporation was servicing \$193,926,000 of FHLMC securities.

10. REVOLVING CREDIT NOTES

The Corporation has revolving credit agreements with financial institutions for the acquisition of mortgage loans. As of June 30, 2025, the total amount available under existing agreements was \$1,166,218,700. The first revolving credit agreement is scheduled to mature on December 17, 2025, and the limit under this agreement is \$40,000,000. Interest paid on amounts drawn is calculated at the Secured Overnight Financing Rate (SOFR) plus 0.65%. The second agreement provides a commitment up to \$100,000,000 and is scheduled to mature on December 29, 2025. Interest paid on amounts drawn is calculated at the 30-day average Secured Overnight Financing Rate (SOFR) plus 0.6%, with the applicable SOFR rate not to be less than 0.25%. The third agreement provides a commitment up to \$150,000,000 and is scheduled to mature on May 24, 2026. Interest paid on amounts drawn is calculated at the one month Secured Overnight Financing Rate (SOFR) plus 1.6%, with the applicable SOFR rate not to be less than 0.25%. Under the fourth agreement, the Corporation maintains an established line of credit with the Federal Home Loan Bank of Des Moines, permitting cash advances up to \$876,218,700. As of the reporting date, the Corporation has not utilized this facility and holds no outstanding balances. Any future draws will accrue interest at a variable rate determined at the time of the advance, with the rate and maturity terms set according to the specific product selected by the facility based on financial circumstances. This agreement does not have a predetermined maturity date, with repayment schedules determined by the specific terms of each credit advance.

To be able to draw on the \$40 million and \$100 million credit agreements described above, the Corporation must comply with certain financial covenants. As of June 30, 2025, the Corporation was in compliance with all covenants.

Total interest expense incurred on these revolving credit agreements for the year ended June 30, 2025 was \$264,057.

Changes in Line of Credit Payable—Short-term debt activity for the year ended June 30, 2025 was as follows (in thousands):

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Line of credit payable	\$ -	\$ 62,977	\$ (45,646)	\$ 17,331	\$ 17,331

11. LONG-TERM DEBT

Single-Family Mortgage Purchase Bonds—Bonds payable in each series or issue generally consist of both serial and/or term bonds maturing at annual, semiannual, or monthly intervals. Outstanding principal on bonds payable (excluding unamortized premium) consisted of the following at June 30, 2025 (in thousands):

Bond Issue	Interest Rate Range	Final Maturity Date	Outstanding Fixed	Outstanding Variable	Total
2009 Series C	4.500%-5.00%	2031	\$ 50	\$ -	\$ 50
2010 Series A	4.250%-4.950%	2032	25	-	25
2011 Series A	4.750%-5.750%	2033	185	-	185
2010 Series B	4.000%-4.625%	2034	1,700	-	1,700
2012 Series C	2.050%-2.850%	2039	78	-	78
2013 Series E	2.200%-2.200%	2041	1,370	-	1,370
2015 Series A	2.200%-2.200%	2041	1,650	-	1,650
2013 Series C	2.150%-2.150%	2043	272	-	272
2013 Series F	3.100%-3.100%	2043	503	-	503
2013 HOMES Series A	4.000%-4.000%	2043	236	-	236
2014 Series A	2.900%-2.900%	2044	852	-	852
2014 HOMES Series A	3.500%-3.500%	2044	589	-	589
2014 HOMES Series B	3.500%-3.500%	2044	190	-	190
2014 Series B	2.850%-2.850%	2044	719	-	719
2014 HOMES Series C	3.500%-3.500%	2044	602	-	602
2014 HOMES Series E	3.500%-3.500%	2044	960	-	960
2014 HOMES Series F	3.500%-3.500%	2044	2,031	-	2,031
2014 HOMES Series G	3.500%-3.500%	2044	846	-	846
2014 HOMES Series H	3.500%-3.500%	2044	1,562	-	1,562
2014 HOMES Series I	3.500%-3.500%	2044	691	-	691
2014 HOMES Series J	3.500%-3.500%	2044	777	-	777
2014 Series C	2.700%-2.700%	2044	1,457	-	1,457
2015 HOMES Series A	3.500%-3.500%	2045	1,247	-	1,247
2015 HOMES Series B	3.500%-3.500%	2045	713	-	713
2015 HOMES Series C	3.500%-3.500%	2045	912	-	912
2015 HOMES Series D	3.500%-3.500%	2045	1,586	-	1,586
2015 HOMES Series E	3.500%-3.500%	2045	2,373	-	2,373
2015 HOMES Series F	3.500%-3.500%	2045	2,479	-	2,479
2015 Series B	2.500%-2.500%	2045	3,568	-	3,568
2015 HOMES Series G	3.500%-3.500%	2045	2,952	-	2,952
2015 HOMES Series H	3.500%-3.500%	2045	1,166	-	1,166
2015 TEMS Series A	3.500%-3.500%	2045	618	-	618
2015 Series C	2.700%-2.700%	2045	1,235	-	1,235

(Continued)

Bond Issue	Interest Rate Range	Final Maturity Date	Outstanding Fixed	Outstanding Variable	Total
2015 TEMS Series B	3.500%-3.500%	2045	1,350	-	1,350
2015 TEMS Series C	3.500%-3.500%	2045	2,274	-	2,274
2015 Series D	2.650%-4.000%	2045	26,475	-	26,475
2016 Series A	2.650%-2.650%	2046	2,993	-	2,993
2016 TEMS Series A	3.500%-3.500%	2046	1,070	-	1,070
2016 TEMS Series B	3.500%-3.500%	2046	748	-	748
2016 TEMS Series C	3.000%-3.000%	2046	1,021	-	1,021
2016 TEMS Series D	3.000%-3.000%	2046	2,857	-	2,857
2016 TEMS Series E	3.500%-3.500%	2046	2,811	-	2,811
2016 TEMS Series F	3.000%-3.000%	2046	1,828	-	1,828
2016 TEMS Series G	3.500%-3.500%	2046	2,620	-	2,620
2016 TEMS Series H	3.000%-3.000%	2046	2,613	-	2,613
2016 TEMS Series I	3.500%-3.500%	2046	761	-	761
2016 TEMS Series J	3.000%-3.000%	2046	1,963	-	1,963
2016 TEMS Series K	3.000%-3.000%	2046	4,281	-	4,281
2016 TEMS Series L	3.000%-3.000%	2046	5,982	-	5,982
2016 TEMS Series M	3.000%-3.000%	2046	5,094	-	5,094
2016 TEMS Series N	3.000%-3.000%	2046	7,467	-	7,467
2016 Series B	2.170%-2.170%	2047	1,538	-	1,538
2017 TEMS Series A	3.000%-3.000%	2047	2,704	-	2,704
2017 TEMS Series B	3.500%-3.500%	2047	2,225	-	2,225
2017 TEMS Series C	3.500%-3.500%	2047	3,728	-	3,728
2017 TEMS Series D	3.500%-3.500%	2047	1,323	-	1,323
2017 Series A	2.800%-2.800%	2047	3,677	-	3,677
2017 TEMS Series E	3.500%-3.500%	2047	1,931	-	1,931
2017 TEMS Series F	3.500%-3.500%	2047	1,953	-	1,953
2017 TEMS Series G	3.500%-3.500%	2047	2,408	-	2,408
2017 TEMS Series H	3.500%-3.500%	2047	4,063	-	4,063
2017 TEMS Series I	3.500%-3.500%	2047	3,269	-	3,269
2017 TEMS Series J	3.500%-3.500%	2047	3,385	-	3,385
2017 TEMS Series K	3.500%-3.500%	2047	1,636	-	1,636
2017 TEMS Series L	3.500%-3.500%	2047	2,831	-	2,831
2017 TEMS Series M	3.500%-3.500%	2047	2,678	-	2,678
2017 Series B	2.690%-2.690%	2048	2,354	-	2,354
2018 TEMS Series A	3.500%-3.500%	2048	3,100	-	3,100
2018 TEMS Series B	3.500%-3.500%	2048	3,625	-	3,625
2018 TEMS Series C	4.000%-4.000%	2048	769	-	769
2018 TEMS Series D	4.000%-4.000%	2048	2,036	-	2,036
2018 Series A	3.450%-3.450%	2048	3,678	-	3,678
2018 TEMS Series E	4.000%-4.000%	2048	914	-	914
2018 TEMS Series F	4.000%-4.000%	2048	3,399	-	3,399

(Continued)

Bond Issue	Interest Rate Range	Final Maturity Date	Outstanding Fixed	Outstanding Variable	Total
2018 TEMS Series G	4.500%-4.500%	2048	4,138	-	4,138
2018 TEMS Series H	4.500%-4.500%	2048	3,436	-	3,436
2018 TEMS Series I	4.500%-4.500%	2048	4,801	-	4,801
2018 TEMS Series J	4.500%-4.500%	2048	2,086	-	2,086
2018 Series B	3.820%-3.820%	2049	4,623	-	4,623
2019 TEMS Series A	4.500%-4.500%	2049	3,138	-	3,138
2019 TEMS Series B	4.500%-4.500%	2049	4,949	-	4,949
2019 TEMS Series C	4.500%-4.500%	2049	3,135	-	3,135
2019 TEMS Series D	4.500%-4.500%	2049	3,504	-	3,504
2019 TEMS Series E	4.500%-4.500%	2049	3,259	-	3,259
2019 TEMS Series F	4.500%-4.500%	2049	4,861	-	4,861
2019 TEMS Series G	4.500%-4.500%	2049	5,602	-	5,602
2019 TEMS Series H	4.500%-4.500%	2049	5,786	-	5,786
2019 TEMS Series I	4.000%-4.000%	2049	5,591	-	5,591
2019 TEMS Series J	3.500%-3.500%	2049	8,860	-	8,860
2019 TEMS Series K	3.500%-3.500%	2049	9,205	-	9,205
2019 TEMS Series L	3.500%-3.500%	2049	3,622	-	3,622
2019 Series A	2.150%-3.875%	2050	33,050	-	33,050
2019 Series B	2.600%-2.600%	2050	9,345	-	9,345
2020 TEMS Series A	3.500%-3.500%	2050	9,694	-	9,694
2020 TEMS Series B	3.500%-3.500%	2050	8,713	-	8,713
2020 TEMS Series C	3.500%-3.500%	2050	7,680	-	7,680
2020 Series A	2.150%-2.150%	2050	4,685	-	4,685
2020 TEMS Series D	3.000%-3.000%	2050	8,046	-	8,046
2020 TEMS Series E	3.000%-3.000%	2050	11,458	-	11,458
2020 TEMS Series F	2.500%-2.500%	2050	32,078	-	32,078
2020 TEMS Series G	2.500%-2.500%	2050	26,578	-	26,578
2020 Series B	1.600%-1.600%	2051	7,722	-	7,722
2021 TEMS Series A	2.500%-2.500%	2051	16,537	-	16,537
2021 TEMS Series B	2.500%-2.500%	2051	18,619	-	18,619
2021 TEMS Series C	2.500%-2.500%	2051	9,133	-	9,133
2021 TEMS Series D	2.000%-2.000%	2051	12,808	-	12,808
2021 TEMS Series E	2.000%-2.000%	2051	28,819	-	28,819
2021 TEMS Series F	2.500%-2.500%	2051	27,449	-	27,449
2021 TEMS Series G	2.500%-2.500%	2051	37,770	-	37,770
2021 Series A	1.850%-1.850%	2051	9,162	-	9,162
2021 TEMS Series H	2.500%-2.500%	2051	42,090	-	42,090
2021 TEMS Series I	2.500%-2.500%	2051	39,831	-	39,831
2021 TEMS Series J	2.500%-2.500%	2051	44,361	-	44,361
2021 TEMS Series K	2.500%-2.500%	2051	46,087	-	46,087
2021 TEMS Series L	2.500%-2.500%	2051	37,618	-	37,618

(Continued)

Bond Issue	Interest Rate Range	Final Maturity Date	Outstanding Fixed	Outstanding Variable	Total
2021 TEMS Series M	2.500%-2.500%	2051	42,701	-	42,701
2021 Series B	1.850%-1.850%	2052	28,104	-	28,104
2022 TEMS Series A	3.000%-3.000%	2052	28,259	-	28,259
2022 TEMS Series B	2.500%-2.500%	2052	15,697	-	15,697
2022 TEMS Series C	3.000%-3.000%	2052	26,211	-	26,211
2022 TEMS Series D	3.000%-3.000%	2052	19,433	-	19,433
2022 TEMS Series E	3.500%-3.500%	2052	15,572	-	15,572
2022 TEMS Series F	4.500%-4.500%	2052	12,043	-	12,043
2022 Series A	4.125%-4.125%	2052	22,363	-	22,363
2022 Series B	4.125%-4.125%	2052	16,385	-	16,385
2022 TEMS Series G	5.000%-5.000%	2052	26,051	-	26,051
2022 TEMS Series H	5.000%-5.000%	2052	22,436	-	22,436
2022 TEMS Series I	5.000%-5.000%	2052	21,912	-	21,912
2022 TEMS Series J	5.000%-5.000%	2052	18,285	-	18,285
2022 TEMS Series K	4.500%-4.500%	2052	10,649	-	10,649
2022 TEMS Series L	5.000%-5.000%	2052	9,178	-	9,178
2022 TEMS Series M	5.500%-5.500%	2052	11,734	-	11,734
2022 TEMS Series N	6.000%-6.000%	2052	10,632	-	10,632
2022 TEMS Series O	6.500%-6.500%	2052	8,630	-	8,630
2023 Series A	5.250%-5.250%	2053	28,566	-	28,566
2023 TEMS Series A	6.500%-6.500%	2053	10,889	-	10,889
2023 TEMS Series B	6.000%-6.000%	2053	9,072	-	9,072
2023 TEMS Series C	5.500%-5.500%	2053	13,698	-	13,698
2023 TEMS Series D	6.500%-6.500%	2053	10,804	-	10,804
2023 TEMS Series E	6.000%-6.000%	2053	11,961	-	11,961
2023 TEMS Series F	6.000%-6.000%	2053	12,417	-	12,417
2023 TEMS Series G	6.500%-6.500%	2053	19,274	-	19,274
2023 TEMS Series H	6.500%-6.500%	2053	19,147	-	19,147
2023 TEMS Series I	6.500%-6.500%	2053	14,997	-	14,997
2023 A/B-1 Series A	3.400%-6.000%	2053	41,725	-	41,725
2023 Series B-1	5.350%-6.050%	2053	29,445	-	29,445
2023 Series B-2	5.350%-6.050%	2053	38,820	-	38,820
2023 Series B	5.700%-5.700%	2054	23,523	-	23,523
2024 Series AB-A	3.450%-6.500%	2054	104,755	-	104,755
2024 Series AB-B	5.210%-6.264%	2054	119,070	-	119,070
2024 Series CD-C	3.100%-6.000%	2054	90,980	-	90,980
2024 Series CD-D	4.921%-6.250%	2054	98,595	-	98,595
2024 Series 1	5.550%-5.550%	2054	29,315	-	29,315
2024 Series EF-E	3.350%-6.000%	2054	90,775	-	90,775
2024 Series EF-F	4.789%-6.250%	2054	113,630	-	113,630
2024 Series 2	5.000%	2054	14,500	-	14,500

(Continued)

Bond Issue	Interest Rate Range	Final Maturity Date	Outstanding Fixed	Outstanding Variable	Total
2025 Series 1	5.130%	2054	22,500	-	22,500
2024 Series GH-G	3.200%-6.250%	2055	76,880	-	76,880
2024 Series GH-H	4.620%-6.500%	2055	147,070	-	147,070
2024 Series I	3.000%-6.250%	2055	79,640	-	79,640
2024 Series J	4.250%-5.650%	2055	79,910	-	79,910
2024 Series K	Variable Weekly	2055	-	40,000	40,000
2025 Series A	3.150%-6.500%	2055	74,000	-	74,000
2025 Series B	4.480%-6.750%	2055	151,000	-	151,000
2025 Series C	2.950%-6.500%	2055	60,000	-	60,000
2025 Series D	4.480%-6.650%	2055	140,000	-	140,000
Single-family mortgage purchase bonds total			<u>\$ 2,922,788</u>	<u>\$ 40,000</u>	<u>\$ 2,962,788</u>

Some of the bonds outlined may be called early, with redemption prices that fluctuate depending on terms, often close to or in some instances exceeding par.

Interest on the single-family bonds is payable semiannually or quarterly, depending on the bond indenture. Principal and interest for Home Ownership Mortgage-backed Exempt Securities (HOMES) and TEMS Series are paid monthly based on receipts from the underlying pass-through security.

Of the bonds described in the bonds payable listing, \$1,207,882,000 is not excluded from gross income for federal income tax purposes and is, therefore, taxable. Also, there are \$500,000 Class II bonds and \$26,475,000 of Class III bonds. The Class III bonds carry the Corporation's general obligation rating of Aa3 from Moody's and AA from Standard & Poor's and Fitch Ratings.

In accordance with the indenture, interest rates on variable rate bonds are determined as indicated and are paid at a rate established by the remarketing agents on each rate determination date. The variable rates paid on the subject bonds was 4.35% at June 30, 2025. Pursuant to the liquidity agreements, the bonds are subject to purchase by liquidity providers in the event of a tender by bondholders (Bank Bonds). Subject to other provisions within the liquidity agreements, Bank Bonds will bear interest at a rate specified within the agreements and continue to be subject for remarketing by remarketing agents. In the event the remarketing agents are unable to remarket the Bank Bonds over a certain period of time, the Bank Bonds are subject to a put whereby the Corporation is required to purchase and redeem the Bank Bonds over a period stated within the agreements. The Corporation has a take-out agreement with the liquidity providers to convert the bonds to an installment loan payable over a five-year period. The interest rate that is to be paid during the put periods is the Fed Funds rate plus 200 basis points. The liquidity agreement for 2024 Series K expires on November 20, 2029. Annual sinking fund payments are generally required for all bonds during years with no annual maturities. The assets of each bond or group of bonds (indenture) listed above are pledged for the payment of principal and interest on the bonds issued and to be issued by the respective programs.

Scheduled amounts of future debt service requirements for the single-family bond issues (both fixed and variable rate), including principal maturities and sinking fund requirements for the years subsequent to June 30, 2025, are as follows (in thousands):

Year Ending June 30	Principal Amount	Interest Amount	Total
2026	\$ 290,808	\$ 135,609	\$ 426,417
2027	294,647	130,253	424,900
2028	224,799	119,894	344,693
2029	209,565	112,050	321,615
2030	156,079	104,739	260,818
2031-2035	254,167	461,965	716,132
2036-2040	252,223	402,889	655,112
2041-2045	323,850	326,537	650,387
2046-2050	434,959	223,681	658,640
2051-2055	510,624	82,755	593,379
2056-2060	11,067	338	11,405
Total	<u>\$ 2,962,788</u>	<u>\$ 2,100,710</u>	<u>\$ 5,063,498</u>

Changes in Long-Term Debt—Long-term debt activity (including current portions of long-term debt) for the year ended June 30, 2025 was as follows (in thousands):

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Bonds payable:					
Single-Family mortgage purchase bonds	\$2,219,620	\$ 887,000	\$ (143,832)	\$2,962,788	\$ 290,808
Premium on bonds	<u>64,139</u>	<u>37,448</u>	<u>(4,879)</u>	<u>96,708</u>	<u>12,379</u>
Total bonds payable	2,283,759	924,448	(148,711)	3,059,496	303,187
Notes payable	<u>67,432</u>	<u>-</u>	<u>(11,128)</u>	<u>56,304</u>	<u>21,731</u>
Total long-term debt	<u><u>\$2,351,191</u></u>	<u><u>\$ 924,448</u></u>	<u><u>\$ (159,839)</u></u>	<u><u>\$3,115,800</u></u>	<u><u>\$ 324,918</u></u>

Total interest expense incurred on long-term debt for the year ended June 30, 2025 was \$116,301,000 none of which was capitalized.

Under the Internal Revenue Code, arbitrage earnings on certain bond issues may be subject to rebate. At June 30, 2025, there was an estimated arbitrage rebates payable of \$5,224. Any expense or changes in the accrual for the year ended June 30, 2025 was included with general operating expenses on the statement of revenues, expenses, and changes in net position.

12. CONDUIT DEBT

The Corporation has issued Multi-Family Mortgage Purchase Bonds as conduit debt obligations for the purpose of providing capital financing for third party affordable housing projects that are not a part of

the Corporation. The Corporation is not obligated in any manner for repayment of the conduit debt. The Corporation has not included the activity of these bonds in the financial statements for the current year. Conduit debt outstanding consisted of the following issues at June 30, 2025 (in thousands):

Bond Issue Name	Interest Rate Range	Final	Fixed	Variable	Total
		Maturity Date			
2005 A Series, Boyer Hill Military Housing	5.392% - 5.442%	2050	\$ 34,750	\$ -	\$ 34,750
2009 A Series, Fireclay II	2.400% - 4.000%	2051	21,830	-	21,830
2010 A Series, Liberty Peak	2.250% - 4.250%	2028	11,785	-	11,785
2010 A Series, Providence Place	3.010% - 3.010%	2052	7,920	-	7,920
2012 B Series, Beacon Hill	1.000% - 3.400%	2030	14,980	-	14,980
2014 Series, Enclave	Variable weekly rate	2047	-	16,081	16,081
2015 Series Lofts 616	4.210% - 4.210%	2036	24,176	-	24,176
2016 Series A&B Boulder	3.730% - 9.500%	2046	27,216	-	27,216
2016 Series A&B Veranda West	3.740% - 5.100%	2049	24,339	-	24,339
2016 Series Artesian Springs	3.990% - 3.990%	2033	12,000	-	12,000
2016 Series A&B Pleasant View III	4.520% - 5.360%	2049	13,322	-	13,322
2016 Series Granary Place	4.890% - 4.890%	2050	9,772	-	9,772
2017 Series Boulder Pines	1.200% - 9.500%	2047	2,740	-	2,740
2017 Series Arcadia	4.840% - 4.840%	2050	19,152	-	19,152
2017 Series Moda Meadowbrook Apts	4.860% - 4.860%	2050	12,327	-	12,327
2017 Series Garden Lofts	4.660% - 4.660%	2051	27,300	-	27,300
2018 Series Osmond/Normandie	Variable monthly rate	2039	-	7,902	7,902
2019 Series Exchange A	Variable monthly rate	2039	-	13,975	13,975
2019 Series A&B Triview III/Red Rocks At Sienna	5.00% - 6.25%	2062	30,885	-	30,885
2019 Series Jordan Bluffs	Variable daily rate	2036	-	22,613	22,613
2019 Series Exchange B	Variable monthly rate	2038	-	11,126	11,126
2019 Series Arcadia II	Variable monthly rate	2037	-	23,439	23,439
2019 Series Moda Union	Variable daily rate	2039	-	23,030	23,030
2020 Series Jackson Series A	3.360% - 3.360%	2037	10,804	-	10,804
2020 Series Moda Glenwood	Variable monthly rate	2053	-	23,367	23,367
2020 Series A&B Meadows At Homestead	Variable monthly rate	2053	-	21,868	21,868
2020 American Fork Affordable	Variable monthly rate	2037	-	30,000	30,000
2020 North Logan/The Meadows Apts	Variable monthly rate	2053	-	22,335	22,335
2020 255 South State Street Series A	5.000% - 5.000%	2040	18,994	-	18,994
2021 1700 South Affordable	Variable monthly rate	2040	-	31,300	31,300
2021 River Rock Series A&B	5.100%-5.100%	2065	29,000	-	29,000
2021 River Rock Series C	6.00% - 6.00%	2038	1,500	-	1,500
2021 Wall & 17th Affordable ABC	Variable monthly rate	2039	-	17,300	17,300
2021 Lotus Anthem	Variable monthly rate	2054	-	27,700	27,700
2021 Village At North Station	Variable monthly rate	2056	-	98,299	98,299
2021 New City Plaza	3.625%-3.625%	2026	34,836	-	34,836
2021 Alta Vue	Variable Daily rate	2041	-	29,360	29,360
2021 Series A&B Richfield Apts	Variable Daily rate	2041	-	14,859	14,859
2021 Lotus Riverwalk Apts	Variable monthly rate	2055	-	16,700	16,700
2022 New City Plaza	3.625%-3.625%	2026	1,957	-	1,957

(Continued)

Bond Issue Name	Interest Rate Range	Final	Fixed	Variable	Total
		Maturity Date			
2022 Midshore Manor	3.72% - 3.72%	2039	11,113	-	11,113
2022 Jackson Station	4.450% - 4.450%	2065	49,846	-	49,846
2022 Spark	Variable monthly rate	2057	-	29,855	29,855
2022 144 South Apt	Variable monthly rate	2042	-	20,100	20,100
2022 Lotus II Riverwalk Apts	Variable monthly rate	2055	-	26,000	26,000
2023 The Nest at Rio Grande Apt	Variable monthly rate	2044	-	32,159	32,159
2023 25th and Quincy Apts	Variable monthly rate	2057	-	27,550	27,550
2023 Syracuse Affordable Apts	Variable monthly rate	2057	-	44,197	44,197
2023 Skyline View	5.370%-5.370%	2039	19,058	-	19,058
2023 Howick Apts	Variable monthly rate	2044	-	21,955	21,955
2023 Enginehouse Apts	Variable monthly rate	2056	-	21,291	21,291
2023 Magnolia At Homestead Apts	Variable monthly rate	2057	16,700	-	16,700
2024 New City Plaza	3.625%-3.625%	2026	5,500	-	5,500
2024 Ogden Silvercrest Project	6.875%-6.875%	2027	50	-	50
2024 Silos on 500	3.700%-3.700%	2058	21,335	-	21,335
2024 Price Apts	Variable monthly rate	2045	-	25,122	25,122
2024 Lotus Citywalk	Variable monthly rate	2058	-	8,552	8,552
2024 Liberty Ranch	Variable monthly rate	2048	-	2,831	2,831
2024 Latitude Apt Series A	Variable monthly rate	2029	6,563	-	6,563
2024 Latitude Apt Series B	Variable monthly rate	2029	-	-	-
2024 Latitude Apt Series C	7.500%-7.500%	2029	1,200	-	1,200
2024 Promontory Series 2024A	4.690%-4.690%	2045	30,120	-	30,120
2024 Promontory Series 2024B	3.400%-3.400%	2028	8,380	-	8,380
2024 9Ten West	Variable monthly rate	2042	-	5,402	5,402
2025 Lotus III Riverwalk	Variable monthly rate	2058	-	3,587	3,587
2025 Lotus Advantage Fluence	Variable monthly rate	2059	-	2,701	2,701
2025 9th Note	Variable monthly rate	2059	-	1,528	1,528
Total			<u>\$ 561,450</u>	<u>\$ 724,084</u>	<u>\$ 1,285,534</u>

13. NOTES PAYABLE

Single Family—The Corporation has entered into several different agreements with financial institutions to provide a source of capital for the purchase of single-family mortgage loans. Under the terms of these agreements, the Corporation is obligated to make a scheduled monthly principal and interest payment based on the Applicable Treasury rate for seven-year obligations as published by Bloomberg Financial Services, plus any principal curtailments received on the underlying loans receivable. The rates applicable to the outstanding balance as of June 30, 2025, ranged from 2.070% to 5.290%.

As of June 30, 2025, there are \$53,623,000 of single-family loans receivable pledged to provide the corresponding principal and interest payments related to these agreements. Payments made under these agreements will occur until the maturity of the underlying loans receivable mature or are paid in full.

There was \$106,241,000 of available capital under the existing agreements as of June 30, 2025.

Multifamily—The Corporation has entered into agreements with Federal Financing Bank (FFB) to provide a source of capital for the purchase of certificates of participation of multi-family mortgage loans. Under the terms of these agreements, the Corporation is obligated to make a scheduled monthly principal and interest payment based on the loan agreement entered for thirty years, plus any principal curtailments received on the underlying loans receivable. The rate applicable to the outstanding balances as of June 30, 2025, was 5.946%.

As of June 30, 2025, there are \$1,982,000 of multi-family loans receivable pledged to provide the corresponding principal and interest payments related to these agreements. Payments made under these agreements will occur until the maturity of the underlying loans receivable mature or are paid in full.

The future expected debt service payments as of June 30, 2025, are as follows (in thousands):

Year Ending June 30	Principal Amount	Interest Amount	Total
2026	\$ 21,731	\$ 2,386	\$ 24,117
2027	8,450	1,695	10,145
2028	6,656	1,331	7,987
2029	6,989	997	7,986
2030	7,340	646	7,986
2031-2035	3,528	684	4,212
2036-2040	286	440	726
2041-2045	384	342	726
2046-2050	517	209	726
2051-2055	423	44	467
	<u>\$ 56,304</u>	<u>\$ 8,774</u>	<u>\$ 65,078</u>

14. DERIVATIVE INSTRUMENTS

The Corporation has entered into derivative instruments to hedge against interest rate or cash flow risks and forward sales commitments on MBS.

A summary of derivative instruments as of June 30, 2025 is as follows (in thousands):

	Notional Amount	Fair Market Value
Swaps	\$ 116,665	\$ (138)
Forwards	<u>53,000</u>	<u>(377)</u>
Total	<u>\$ 169,665</u>	<u>\$ (515)</u>

Objective of the Swaps—The Corporation has entered into synthetic fixed-rate structures (variable-rate debt combined with fixed interest-rate swaps) to provide a lower cost of fixed-rated financing versus

issuing fixed-rate bonds. To protect against interest rate risk on its variable-rate debt, the Corporation has entered into 2 separate pay-fixed, receive variable interest rate swaps as of June 30, 2025.

Terms, Fair Value, and Credit Risk—The terms, including the fair value of the outstanding swaps as of June 30, 2025, are shown below. The notional amounts of the swaps matched the principal amounts of the associated debt at the time of issuance. The Corporation’s swap agreements contain scheduled reductions to outstanding notional amounts that are expected to approximately follow scheduled or anticipated reductions in the associated bonds payable category.

Interest Rate Swap Agreements (in Thousands)

Associated Single-Family Bond Issue	Outstanding Notional Amount	Effect Date	Fixed Rate Paid by the Corporation	Variable Rate Received from Counterparty	Fair Values	Swap Termination Date
2024 Series K	\$ 40,000	11/20/2024	4.6375%	100% SOFR + 0.05%	\$ 1,281	7/1/2055
2025 Series G	76,665	7/1/2025	5.0834%	100% SOFR + 0.05%	(1,419)	7/1/2055
Total	<u>\$ 116,665</u>				<u>\$ (138)</u>	

Fair Value—The fair values of swaps are a function of market interest rates and the remaining term on the swap contracts. The fair values of the swap contracts were estimated using the zero-coupon method. This method calculates the future net settlement payments required by the swap, assuming that the current forward rates implied by the yield curve correctly anticipate future spot interest rates. These payments are then discounted using the spot rates implied by the current yield curve for hypothetical zero-coupon bonds due on the date of each future net settlement on the swaps.

Credit Risk— The Corporation’s swaps rely upon the performance of third parties who serve as swap counterparties, and as a result, the Corporation is exposed to credit risk – the risk that a swap counterparty fails to perform according to its contractual obligations. The appropriate measurement of this risk at the reporting date is the fair value of the swaps, as show above in the column labeled fair values. The Corporation is exposed to credit risk in the amount of any positive net fair value exposure to each counterparty. As of June 30, 2025, the Corporation was exposed to minimal risk to any of its counterparties. To mitigate credit risk, the Corporation determines the creditworthiness, including rating(s) of its counterparties and the potential impact to the Corporation. As of June 30, 2025, all counterparties were rated in the AA-/Aa1 or higher category by Standard & Poor’s (S&P) or Moodys Investor Service (Moody’s), respectively.

Basis Risk— The Corporation is exposed to basis risk when the variable interest rate paid to holders of its variable rate demand obligation is not equivalent to the variable rate received from its counterparties on the related swap agreements. When exposed to basis risk, the net interest expense incurred on the combination of the swap agreement and the associated variable rate debt may be higher or lower than anticipated. The Corporation’s taxable variable rate bond interest payments, which are reset on a weekly basis, are generally hedged with a SOFR-based swap agreement. The Corporation believes its swap agreements have been structured to minimize risk and therefore is only exposed to basis risk to the extent the Corporation’s bonds diverge from these formulations of SOFR.

Termination Risk— The Corporation or the counterparty may terminate any of the swaps if the other party fails to perform under the terms of the contract. In addition to thoroughly evaluating

counterparties prior to entering into a contract, the Corporation will negotiate terms that ensure, in the event a termination payment is due to a party, the value of such termination payment should be equal to the cost of replacing the counterparty, wherever possible. In addition, the Corporation has the option to terminate, at any time, at market rates (i.e., fair value adjusted for the counterparty's transaction costs).

Rollover Risk—The Corporation is exposed to rollover risk on swaps that mature or may be terminated prior to the maturity of the associated debt. When these swaps terminate, or in the case of the termination option, the Corporation will not realize the synthetic rate offered by the swaps on the underlying debt issues. As of June 30, 2025, the Corporation was not exposed to rollover risk.

Swap Payments and Associated Debt – Using rates as of June 30, 2025, debt service requirements of the Corporation's outstanding variable-rate debt and net swap payments are as follows (in thousands):

Fiscal Year Ending June 30	Variable-Rate Bonds		Interest Rate	
	Principal	Interest	Swaps — Net	Total
2026	\$ -	\$ 1,740	\$ 55	\$ 1,795
2027	-	1,740	55	1,795
2028	-	1,740	55	1,795
2029	-	1,740	55	1,795
2030	-	1,740	55	1,795
2031-2035	-	8,700	275	8,975
2036-2040	-	8,700	275	8,975
2041-2045	3,095	8,627	273	11,995
2046-2050	11,315	7,290	230	18,835
2051-2055	25,180	3,389	107	28,676
2056-2060	410	18	18	446
Total	<u>\$ 40,000</u>	<u>\$ 45,424</u>	<u>\$ 1,453</u>	<u>\$ 86,877</u>

Forward Sales Contracts—Forward sales securities commitments and private sales commitments are utilized to hedge changes in fair value of mortgage loan inventory and commitments to originate mortgage loans. At June 30, 2025, the Corporation had executed 40 forward transactions with a \$53,000,000 notional amount and a (\$377,000) fair market value for GNMA securities. The forward sales were settled by August 20, 2025.

Credit Risk—Several of the Corporation's forward agreements require it to post collateral in the event that the fair market value of the contract has decreased. The Corporation did not have any collateral posted with a counterparty as of June 30, 2025.

The following is a summary of the forward commitments entered into as of June 30, 2025 (in thousands):

Count	Par	Exposure	June 30		Fair Value
			Original Premium	2025 Premium	
1	\$ 1,000	2%	\$ 6	\$ 14	\$ (8)
5	6,000	11%	54	94	(40)
2	3,000	6%	50	68	(18)
14	21,000	40%	189	349	(160)
13	13,000	25%	138	207	(69)
5	9,000	17%	57	139	(82)
	<u>\$ 53,000</u>	<u>100%</u>	<u>\$ 494</u>	<u>\$ 871</u>	<u>\$ (377)</u>

15. SUBSCRIPTION BASED TECHNOLOGY ARRANGEMENTS (SBITAS)

The Corporation contracts with vendors under SBITAs with non-cancelable terms of one year or more. For these, the corporation recognizes a subscription liability at the present value of payments expected to be made during the subscription term based off contract fixed costs or the contractual minimum of the variable costs as these are assumed to be fixed in substance. The Corporation also recognizes a subscription asset based on the initial measurement of the subscription liability and that asset is amortized over the subscription term. See Note 8 for details regarding the subscription asset and accumulated amortization balances.

Variable payments that were not fixed in substance (i.e. subject to contractual minimums) were not included in the SBITA calculations. Total expenses related to these variable payments were \$405,000 during the year ended June 30, 2025.

Scheduled payments of future Subscription liability calculations, including principal and interest requirements are as follows (in thousands):

Year Ending June 30	Principal Amount	Interest Amount	Total
2026	\$ 307	\$ 19	\$ 326
2027	105	11	116
2028	98	7	105
2029	<u>103</u>	<u>4</u>	<u>107</u>
	<u>\$ 613</u>	<u>\$ 41</u>	<u>\$ 654</u>

Subscription liability activity for the year ended June 30, 2025 was as follows (in thousands):

Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
<u>\$ 910</u>	<u>\$ 592</u>	<u>\$ (889)</u>	<u>\$ 613</u>	<u>\$ 307</u>

During the fiscal year, there were no commitments under SBITAs that started prior to the commencement of the subscription period which resulted in expense. The Corporation did not incur any termination penalties, other payments, or impairment losses for any of its SBITAs during the fiscal year.

16. RETIREMENT PLANS

Plan Description—Eligible plan participants are provided with pensions through the Utah Retirement Systems that are comprised of the following Pension Trust Funds:

Defined Benefit Plans

- Public Employees Noncontributory Retirement System (“Noncontributory System”) is a multiple employer, cost-sharing, retirement system.
- Public Employees Contributory Retirement System (“Contributory System”) is a multiple employer, cost-sharing, retirement system.
- Tier 2 Public Employees Contributory Retirement System (“Tier 2 Public Employees System”) is a multiple employer, cost-sharing, public employee retirement system.

The Tier 2 Public Employees System became effective July 1, 2011. All eligible employees beginning on or after July 1, 2011, who have no previous service credit with any of the URS are members of the Tier 2 Retirement System.

The Utah Retirement Systems (Systems) are established and governed by the respective sections of Title 49 of the Utah Code Annotate 1953, as amended. The Systems’ defined benefit plans are amended statutorily by the State Legislature. The Utah State Retirement Office Act in Title 49 provides for the administration of the Systems under the direction of the Utah State Retirement Board, whose members are appointed by the Governor. The Systems are fiduciary funds defined as pension (and other employee benefit) trust funds. URS is a component unit of the State of Utah. Title 49 of the Utah Code grants the authority to establish and amend the benefit terms.

URS issues a publicly available financial report that can be obtained by writing Utah Retirement Systems, 560 E. 200 S., Salt Lake City, UT 84102 or visiting the website at <https://www.urs.org/general/publications>.

URS provides retirement, disability, and death benefits. Retirement benefits available to all full-time employees (working 30 hours or more) are as follows:

Summary of Benefits by System

System	Final Average Salary	Years of Service Required and/or Age Eligible for Benefit	Benefit Percent per Year of Service	COLA**
Noncontributory System	Highest three years	30 years, any age 25 years, any age* 20 years, age 60* 10 years, age 62* 4 years, age 65	2.0% per year all years	Up to 4%
Contributory System	Highest five years	30 years, any age 25 years, any age* 20 years, age 60* 10 years, age 62* 4 years, age 65	1.25% per year to June 1975 2.00% per year July 1975 to present	Up to 4%
Tier 2 Public Employees System	Highest five years	35 years, any age 20 years, age 60* 10 years, age 62* 4 years, age 65	1.5% per year all years	Up to 2.5%

* Actuarial reductions are applied.

** All postretirement cost-of-living adjustments (COLA) are non-compounding and are based on the original benefit, except for Judges, which is a compounding benefit. The COLA are also limited to the actual consumer price index (CPI) increase for the year, although unused CPI increases not met maybe carried forward to subsequent years.

Contributions

As a condition of participation in the Systems, employers and/or employees are required to contribute certain percentages of salary and wages as authorized by statute and specified by the URS Board. Contributions are actuarially determined as an amount that, when combined with employee contributions (where applicable), is expected to finance the costs of benefits earned by employees

during the year, with an additional amount to finance any unfunded actuarial accrued liability. Contribution rates as of June 30, 2025, are as follows:

System	Employee Paid	Paid by Employer for Employee	Employer Contribution Rates	Employer Rate 401(k) plan
Contributory System:				
12—State and School Division Tier 1	N/A	6.00%	17.20%	N/A
112—State and School Division Tier 2***	0.70%	N/A	19.52%	N/A
Noncontributory System—				
16—State and School Division Tier 1	N/A	N/A	21.69%	1.50%
Tier 2 DC Only				
212—State and School	N/A	N/A	9.52%	10.00%

*** Tier 2 rates include a statutory required contribution to finance the unfunded actuarial accrued liability of the Tier 1 Plans.

For fiscal year ended June 30, 2025, the employer and employee contributions to the Systems were as follows (in thousands):

System	Employer Contributions	Employee Contributions
Noncontributory System	\$ 813	\$ -
Tier 2 Public Employees System	907	33
Tier 2 DC Only System	171	-
Total Contributions	\$ 1,891	\$ 33

Contributions reported are the URS Board approved required contributions by System. Contributions in the Tier 2 Systems are used to finance the unfunded liabilities in the Tier 1 Systems.

Combined Pension Assets, Liabilities, Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2025, the Corporation reported a net pension asset of \$0 and a net pension liability of \$5,502,957.

(Measurement Date): December 31, 2024 (in thousands)					
System	Net Pension Asset	Net Pension Liability	Proportionate Share	Proportionate Share 12/31/2023	Change (Decrease)
Noncontributory System	\$ -	\$ 3,856	0.1704637%	0.1707576%	(0.0002939%)
Contributory System	-	1,197	4.0448749%	6.7529977%	(2.7081228%)
Tier 2 Public Employees System	-	450	0.1510166%	0.1420949%	0.0089217%
Total Net Pension Asset/Liability	<u>\$ -</u>	<u>\$ 5,503</u>			

The net pension asset and liability was measured as of December 31, 2024, and the total pension liability used to calculate the net pension asset and liability was determined by an actuarial valuation as of January 1, 2024 and rolled-forward using generally accepted actuarial procedures. The proportion of the net pension asset and liability is equal to the ratio of the employer's actual contributions to the Systems during the plan year over the total of all employer contributions to the System during the plan year.

For the year ended June 30, 2025 the Corporation recognized pension expense of \$2,606,985.

At June 30, 2025, the Corporation reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources (in thousands):

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,137	\$ 3
Changes in assumptions	284	-
Net difference between projected and actual earning on pension plan investments	977	-
Changes in proportion and differences between contributions and proportionate share of contributions	69	53
Contributions subsequent to the measurement date	952	-
Total	<u>\$ 3,419</u>	<u>\$ 56</u>

There was \$952,136 reported as deferred outflows of resources related to pension results from contributions made by us prior to the Corporation's fiscal year end, but subsequent to the measurement date of December 31, 2024.

These contributions will be recognized as a reduction of the net pension liability in the upcoming fiscal year. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows (in thousands):

Year Ended December 31	Net Deferred Outflows (Inflows) of Resources
2025	\$ 844
2026	1,697
2027	(332)
2028	(22)
2029	100
Thereafter	124
Total	<u>\$ 2,411</u>

Actuarial Assumptions

The total pension liability in the December 31, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.50%
Salary increases	3.50%–9.50%, average, including inflation
Investment rate of return	6.85%, net of pension plan investment expense, including inflation

Mortality rates were adopted from an actuarial experience study dated January 1, 2023. The retired mortality tables are developed using URS retiree experience and are based upon gender, occupation, and age as appropriate with projected improvement using the ultimate rates from the MP-2020 improvement assumption using a base year of 2020. The mortality assumption for active members is the PUB-2010 Employees Mortality Table for public employees, teachers, and public safety members, respectively.

The actuarial assumptions used in the January 1, 2023, valuation were based on the results of an actuarial experience study for the period ended December 31, 2022.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class and is applied consistently to each defined benefit pension plan. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the

target asset allocation percentages and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Expected Return Arithmetic Basis		
	Target Asset Allocation	Real Return Arithmetic Basis	Long-Term Expected Portfolio Real Rate of Return
Equity securities	35.00%	7.01%	2.45%
Debt securities	20.00%	2.54%	0.51%
Real assets	18.00%	5.45%	0.98%
Private equity	12.00%	10.05%	1.21%
Absolute return	15.00%	4.36%	0.65%
Cash and cash equivalents	0.00%	0.49%	0.00%
Totals	100%		5.80%
Inflation			2.50%
Expected arithmetic nominal return			8.30%

The 6.85% assumed investment rate of return is composed of an inflation rate of 2.50% and a real return of 4.35% that is net of investment expense.

Discount Rate

The discount rate used to measure the total pension liability was 6.85%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from all participating employers will be made at contractually required rates that are actuarially determined and certified by the URS Board. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability. The discount rate does not use the Municipal Bond Index Rate.

Sensitivity of the proportionate Share of the Net Pension Asset and Liability to Changes in the Discount Rate: The following presents the proportionate share of the net pension liability calculated using the discount rate of 6.85%, as well as what the proportionate share of the net pension liability would be if it

were calculated using a discount rate that is one percentage point lower (5.85%) or one percentage point higher (7.85%) than the current rate (in thousands):

System	1% Decrease (5.85%)	Discount Rate (6.85%)	1% Increase (7.85%)
Noncontributory System	\$ 9,888	\$ 3,856	\$ (1,206)
Contributory System	3,309	1,197	(636)
Tier 2 Public Employees System	<u>1,345</u>	<u>450</u>	<u>(246)</u>
Proportionate share of net pension liability/(asset)	<u>\$ 14,542</u>	<u>\$ 5,503</u>	<u>\$ (2,088)</u>

Detailed information about the pension plan's fiduciary net position is available in the separately issued URS financial report.

Defined Contribution Savings Plans

The Defined Contribution Savings Plans are administered by the Utah Retirement Systems Board and are generally supplemental plans to the basic retirement benefits of the Retirement Systems, but may also be used as a primary retirement plan. These plans are voluntary tax-advantaged retirement savings programs authorized under sections 401(k), 457(b), and 408 of the Internal Revenue code. Detailed information regarding plan provisions is available in the separately issued URS financial report.

The Corporation participates in the following Defined Contribution Savings Plans with Utah Retirement Systems:

- 401(k) Plan
- 457(b) Plan
- Roth IRA Plan
- Traditional IRA Plan

In addition to the required contributions shown above, the Corporation contributes an additional 1.5% to the Tier 2 employees 401(k) Plans. The Corporation's employee and employer contributions to the Utah Retirement Define Contribution Savings Plans for the fiscal year ended June 30, 2025 were as follows (in thousands):

	2025	2024	2023
401(k) Plan			
Employer contributions	\$ 399	\$ 384	\$ 348
Employee contributions	\$ 393	\$ 357	\$ 289
457 Plan			
Employee contributions	\$ 117	\$ 145	\$ 127
Roth IRA Plan			
Employee contributions	\$ 103	\$ 85	\$ 72
Traditional IRA Plan			
Employee contributions	\$ -	\$ 1	\$ 2

17. COMMITMENT AND CONTINGENCY

As of June 30, 2025, the Corporation is committed to purchase mortgages under the warehouse loans and the single-family programs in the amount of \$181,660,000. The warehouse loans and single-family programs are expected to be purchased by the end of September 2025. The Corporation is also committed to purchase mortgages under the multi-family risk share program in the amount of \$3,126,000. The multi-family risk share programs are expected to be purchased by the end of April 2026.

18. NET POSITION DESIGNATIONS

Net investment in capital assets, which represents the Corporation's total capital assets less the outstanding debt directly related to those assets, is summarized in the following table as of June 30, 2025 (in thousands):

Capital assets	\$ 6,207
Related debt obligations	<u>(613)</u>
Total	<u>\$ 5,594</u>

Expendable restricted net position consists of resources that the Corporation is legally or contractually obligated to spend in accordance with restrictions placed by creditors, grantors, contributors, or through laws, regulations, or contractual agreements. Expendable restricted net position includes amounts for the single-family program restricted under bond indentures, single-family program

amounts restricted for other purposes, and the multi-family program, the resources of which are entirely restricted. The following schedule presents these amounts as of June 30, 2025 (in thousands):

Single-family funds restricted under bond indentures	\$ 161,310
Single-family funds restricted for other purposes	4,432
Multi-family program	<u>74,773</u>
Total	<u>\$ 240,515</u>

Unrestricted net position is not subject to the same externally imposed requirements and stipulations as the restricted net position category; however, substantially all of the Corporation's unrestricted net position resources have been internally designated for specific purposes. The Corporation's management has designated the unrestricted net positions of the operating fund and single-family program funds for the purposes set forth below as of June 30, 2025 (in thousands):

Future operating expenses	\$ 41,010
Down payment assistance	45,000
Debt service shortfall and maintenance of bond ratings	<u>278,531</u>
Total	<u>\$ 364,541</u>

These designations, while not legally binding, reflect management's strategic priorities and long-term operational objectives.

19. DIVERSITY OF CREDIT RISK

The Corporation purchases mortgage loans secured by residences located throughout the State of Utah. Loans are diversified geographically in approximate proportion to population dispersion.

Guidelines affecting diversity of risk have been established by Corporation management, mortgage insurers, and bond rating agencies in order to minimize losses in the event that certain projects, geographic areas, or industrial sectors within the state may be adversely affected by natural or economic disaster.

20. RELATED-PARTY TRANSACTIONS

At June 30, 2025, the Corporation had \$57,163,000 in cash held in an investment pool maintained by the Utah State Treasurer and earned \$6,153,000 in interest income during the year. During the year ended June 30, 2025, the Corporation recorded payments of \$5,732,000 in the General Operating Fund for retirement plans and health insurance expenses paid to the State of Utah or agencies thereof.

The Act prohibits any member or employee of the Corporation from participating in any action by the Corporation authorizing a transaction to which the member or employee of the Corporation has or will have a direct or indirect interest, unless it is disclosed in a public meeting.

21. PRIOR PERIOD ERROR CORRECTION

During fiscal year 2025, the Corporation identified and corrected an error in the classification of certain liabilities related to the First-Time Home Buyer and Law Enforcement programs. In the fiscal year 2024 financial statements, these liabilities, totaling \$24,467,528, were reported as other current liabilities in both the overall Statement of Net Position and the single-family column of the combining Statement of Net Position. These liabilities should have been reported as other noncurrent liabilities, as the underlying obligations were not due within the next fiscal year. The correction has been reflected in the comparative statements presented in the management's discussion and analysis section of this report.

This correction had no effect on the Corporation's net position. The liability related to these programs as of June 30, 2025, totals \$52,678,487 and is reported in other noncurrent liabilities in both the overall Statement of Net Position and the single-family column of the combining Statement of Net Position.

22. SUBSEQUENT EVENTS

Subsequent to June 30, 2025, the Corporation has issued bonds as outlined below (in thousands):

Issuance Description	Delivery Date	Tax Exempt	Taxable
2025 Series E	7/1/2025	\$ 120,000	\$ -
2025 Series F	7/1/2025	-	153,335
2025 Series G	7/1/2025	-	76,665
		<u>\$ 120,000</u>	<u>\$ 230,000</u>

* * * * *

REQUIRED SUPPLEMENTAL INFORMATION

Required Supplementary Information
Schedule of Pension Contributions for the Last Ten Fiscal Years
For the Year Ended June 30

Noncontributory System

	2025	2024	2023	2022	2021
Contractually Required Contribution	\$ 813,030	\$ 807,630	\$ 864,675	\$ 809,525	\$ 831,946
Contributions in Relation to the Contractually Required contribution	(813,030)	(807,630)	(864,675)	(809,525)	(831,946)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 3,746,675	\$ 3,633,799	\$ 3,896,689	\$ 3,653,901	\$ 3,749,190
Contributions as a Percentage of Covered Payroll	21.70%	22.23%	22.19%	22.16%	22.19%

Contributory System

	2025	2024	2023	2022	2021
Contractually Required Contribution	\$ -	\$ 61,861	\$ 61,518	\$ 54,231	\$ 105,451
Contributions in Relation to the Contractually Required contribution	-	(61,861)	(61,518)	(54,231)	(105,451)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ -	\$ 349,495	\$ 347,557	\$ 306,387	\$ 595,768
Contributions as a Percentage of Covered Payroll	0.00%	17.70%	17.70%	17.70%	17.70%

Tier 2 Public Employees System*

	2025	2024	2023	2022	2021
Contractually Required Contribution	\$ 906,959	\$ 804,172	\$ 751,368	\$ 589,565	\$ 511,268
Contributions in Relation to the Contractually Required contribution	(906,959)	(804,172)	(751,368)	(589,565)	(511,268)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 4,646,302	\$ 4,053,284	\$ 3,787,141	\$ 3,038,997	\$ 2,672,600
Contributions as a Percentage of Covered Payroll	19.52%	19.84%	19.84%	19.40%	19.13%

Tier 2 Public Employees System*

	2025	2024	2023	2022	2021
Contractually Required Contribution	\$ 171,128	\$ 171,570	\$ 141,226	\$ 117,279	\$ 107,286
Contributions in Relation to the Contractually Required contribution	(171,128)	(171,570)	(141,226)	(117,279)	(107,286)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 1,797,566	\$ 1,712,273	\$ 1,409,439	\$ 1,170,452	\$ 1,070,719
Contributions as a Percentage of Covered Payroll	9.52%	10.02%	10.02%	10.02%	10.02%

* Contributions in Tier 2 include an amortization rate to help fund the unfunded liabilities in the Tier 1 systems. Tier 2 systems were created effective July 1, 2011.

Required Supplementary Information
Schedule of Pension Contributions for the Last Ten Fiscal Years
For the Year Ended June 30

Noncontributory System

	2020	2019	2018	2017	2016
Contractually Required Contribution	\$ 845,792	\$ 865,840	\$ 859,419	\$ 846,631	\$ 856,562
Contributions in Relation to the Contractually Required contribution	(845,792)	(865,840)	(859,419)	(846,631)	(856,562)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 3,811,591	\$ 4,046,467	\$ 4,020,614	\$ 3,954,600	\$ 3,992,526
Contributions as a Percentage of Covered Payroll	22.19%	21.40%	21.38%	21.41%	21.45%

Contributory System

	2020	2019	2018	2017	2016
Contractually Required Contribution	\$ 106,418	\$ 103,261	\$ 99,162	\$ 94,127	\$ 87,405
Contributions in Relation to the Contractually Required contribution	(106,418)	(103,261)	(99,162)	(94,127)	(87,405)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 601,228	\$ 583,602	\$ 560,237	\$ 531,788	\$ 493,815
Contributions as a Percentage of Covered Payroll	17.70%	17.69%	17.70%	17.70%	17.70%

Tier 2 Public Employees System*

	2020	2019	2018	2017	2016
Contractually Required Contribution	\$ 499,775	\$ 397,861	\$ 344,066	\$ 281,674	\$ 230,640
Contributions in Relation to the Contractually Required contribution	(499,775)	(397,861)	(344,066)	(281,674)	(230,640)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 2,634,400	\$ 2,112,874	\$ 1,865,868	\$ 1,544,265	\$ 1,264,474
Contributions as a Percentage of Covered Payroll	18.97%	18.83%	18.44%	18.24%	18.24%

Tier 2 Public Employees System*

	2020	2019	2018	2017	2016
Contractually Required Contribution	\$ 75,564	\$ 58,987	\$ 45,506	\$ 38,611	\$ 35,551
Contributions in Relation to the Contractually Required contribution	(75,564)	(58,987)	(45,506)	(38,611)	(35,551)
Contribution Deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 754,128	\$ 589,672	\$ 454,154	\$ 385,340	\$ 354,800
Contributions as a Percentage of Covered Payroll	10.02%	10.00%	10.02%	10.02%	10.02%

* Contributions in Tier 2 include an amortization rate to help fund the unfunded liabilities in the Tier 1 systems. Tier 2 systems were created effective July 1, 2011.

Required Supplementary Information
Schedule of the Proportionate Share of the Net Pension Liability

Noncontributory System

	<u>12/31/2024</u>	<u>12/31/2023</u>	<u>12/31/2022</u>	<u>12/31/2021</u>	<u>12/31/2020</u>
Proportion of Net Pension Liability (Asset)	0.1704637%	0.1707576%	0.1773396%	0.1787986%	0.1778494%
Proportionate Share of Net Pension Liability (Asset)	\$ 3,856,095	\$ 3,498,800	\$ 3,829,250	\$ (1,221,631)	\$ 2,370,949
Covered Payroll	\$ 3,751,570	\$ 3,681,497	\$ 3,727,703	\$ 3,863,944	\$ 3,769,211
Proportionate Share of Net Pension Liability (Asset) as a Percentage of Covered Payroll	102.79%	95.04%	102.72%	(31.62%)	62.90%
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	92.13%	92.49%	91.60%	102.70%	94.30%

Contributory System

	<u>12/31/2024</u>	<u>12/31/2023</u>	<u>12/31/2022</u>	<u>12/31/2021</u>	<u>12/31/2020</u>
Proportion of Net Pension Liability (Asset)	4.0448790%	6.7529977%	4.8756941%	5.3588711%	6.3690803%
Proportionate Share of Net Pension Liability (Asset)	\$ 1,196,472	\$ 627,125	\$ 637,194	\$ (4,825,667)	\$ (1,514,814)
Covered Payroll	\$ 176,002	\$ 350,627	\$ 320,139	\$ 453,591	\$ 614,250
Proportionate Share of Net Pension Liability (Asset) as a Percentage of Covered Payroll	679.81%	178.86%	199.04%	(1063.88%)	(246.61%)
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	95.18%	98.51%	97.90%	114.10%	103.70%

Tier 2 Public Employees System

	<u>12/31/2024</u>	<u>12/31/2023</u>	<u>12/31/2022</u>	<u>12/31/2021</u>	<u>12/31/2020</u>
Proportion of Net Pension Liability (Asset)	0.1510166%	0.1420949%	0.1615999%	0.1521661%	0.1688820%
Proportionate Share of Net Pension Liability (Asset)	\$ 450,390	\$ 276,571	\$ 175,965	\$ (64,402)	\$ 24,290
Covered Payroll	\$ 4,474,428	\$ 3,673,643	\$ 3,519,492	\$ (2,824,019)	\$ 2,700,865
Proportionate Share of Net Pension Liability (Asset) as a Percentage of Covered Payroll	10.07%	7.53%	5.00%	2.28%	0.90%
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	87.44%	89.58%	92.30%	103.80%	98.30%

Required Supplementary Information
Schedule of the Proportionate Share of the Net Pension Liability

Noncontributory System

	<u>12/31/2019</u>	<u>12/31/2018</u>	<u>12/31/2017</u>	<u>12/31/2016</u>	<u>12/31/2015</u>
Proportion of Net Pension Liability (Asset)	0.1735812%	0.16501610%	0.15905190%	0.15782770%	0.15453100%
Proportionate Share of Net Pension Liability (Asset)	\$ 3,856,457	\$ 6,139,452	\$ 3,889,395	\$ 5,115,065	\$ 4,854,249
Covered Payroll	\$ 3,800,234	\$ 4,092,982	\$ 3,934,373	\$ 3,993,414	\$ 3,953,386
Proportionate Share of Net Pension Liability (Asset) as a Percentage of Covered Payroll	101.48%	150.00%	98.86%	128.09%	122.79%
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	90.10%	84.10%	89.20%	84.90%	84.50%

Contributory System

	<u>12/31/2019</u>	<u>12/31/2018</u>	<u>12/31/2017</u>	<u>12/31/2016</u>	<u>12/31/2015</u>
Proportion of Net Pension Liability (Asset)	5.1233160%	2.9113361%	2.4067297%	1.9000816%	1.5236271%
Proportionate Share of Net Pension Liability (Asset)	\$ 353,844	\$ 2,067,060	\$ 158,373	\$ 1,041,164	\$ 954,784
Covered Payroll	\$ 571,803	\$ 565,014	\$ 547,599	\$ 509,350	\$ 482,650
Proportionate Share of Net Pension Liability (Asset) as a Percentage of Covered Payroll	61.88%	365.84%	28.92%	204.41%	197.82%
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	98.90%	91.40%	99.20%	93.40%	92.40%

Tier 2 Public Employees System

	<u>12/31/2019</u>	<u>12/31/2018</u>	<u>12/31/2017</u>	<u>12/31/2016</u>	<u>12/31/2015</u>
Proportion of Net Pension Liability (Asset)	0.1684787%	0.1706223%	0.1738736%	0.1726572%	0.1707590%
Proportionate Share of Net Pension Liability (Asset)	\$ 37,892	\$ 73,074	\$ 15,330	\$ 19,260	\$ \$ (373.00)
Covered Payroll	\$ 2,340,859	\$ 1,992,565	\$ 1,701,561	\$ 1,415,924	\$ 1,103,248
Proportionate Share of Net Pension Liability (Asset) as a Percentage of Covered Payroll	1.62%	3.67%	0.90%	1.36%	(0.03%)
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	96.50%	90.80%	97.40%	95.10%	100.20%

SUPPLEMENTAL SCHEDULES

UTAH HOUSING CORPORATION

COMBINING STATEMENT OF NET POSITION AS OF JUNE 30, 2025 (In thousands)

	General Operating Fund	Single-Family Mortgage Program Funds	Housing Development Funds	Total
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES				
CURRENT ASSETS:				
Cash and cash equivalents	\$ 14,426	\$ 35,287	\$ 46,404	\$ 96,117
Investments (partially restricted)	-	225,112	-	225,112
Current maturities of loans receivable (partially restricted)	28	21,082	297	21,407
Interest receivable	10	17,183	248	17,441
Derivative assets	-	1,281	-	1,281
Other current assets	4,959	16	202	5,177
Total current assets	19,423	299,961	47,151	366,535
NONCURRENT ASSETS:				
Investments (partially restricted)	-	2,590,916	-	2,590,916
Loans receivable (partially restricted)	1,954	821,239	21,903	845,096
Net investment in capital assets	6,207	-	-	6,207
Mortgage servicing rights	40,112	-	-	40,112
Other assets	-	-	7,249	7,249
Total noncurrent assets	48,273	3,412,155	29,152	3,489,580
Total assets	67,696	3,712,116	76,303	3,856,115
DEFERRED OUTFLOWS OF RESOURCES:				
Accumulated increase in fair value of hedging derivatives	-	1,796	-	1,796
Pension	3,419	-	-	3,419
Total deferred outflows of resources	3,419	1,796	-	5,215
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	\$ 71,115	\$ 3,713,912	\$ 76,303	\$ 3,861,330
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION				
CURRENT LIABILITIES:				
Interest payable	\$ 17	\$ 49,621	\$ -	\$ 49,638
Line of credit payable	-	17,331	-	17,331
Current maturities of bonds payable	-	303,187	-	303,187
Current maturities of notes payable	28	21,703	-	21,731
Current portion of subscription liability	307	-	-	307
Other current liabilities	4,044	229	1,530	5,803
Total current liabilities	4,396	392,071	1,530	397,997
NONCURRENT LIABILITIES:				
Bonds payable	-	2,756,309	-	2,756,309
Notes payable	1,954	32,619	-	34,573
Unearned revenue	176	-	-	176
Net Pension liability	5,503	-	-	5,503
Subscription liability	306	-	-	306
Derivative instruments	-	1,796	-	1,796
Other noncurrent liabilities	-	52,683	-	52,683
Interfund payable (receivable)	9,732	(9,732)	-	-
Total noncurrent liabilities	17,671	2,833,675	-	2,851,346
Total liabilities	22,067	3,225,746	1,530	3,249,343
DEFERRED INFLOWS OF RESOURCES:				
Accumulated increase in fair value of hedging derivatives	-	1,281	-	1,281
Pension	56	-	-	56
Total deferred inflows of resources	56	1,281	-	1,337
NET POSITION:				
Net investment in capital assets	5,594	-	-	5,594
Restricted—expendable	-	165,742	74,773	240,515
Unrestricted	43,398	321,143	-	364,541
Total net position	48,992	486,885	74,773	610,650
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	\$ 71,115	\$ 3,713,912	\$ 76,303	\$ 3,861,330

UTAH HOUSING CORPORATION

COMBINING STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION FOR THE YEAR ENDED JUNE 30, 2025 (In thousands)

	General Operating Fund	Single-Family Mortgage Program Funds	Housing Development Funds	Total
OPERATING REVENUES:				
Interest on loans receivable	\$ 110	\$ 43,364	\$ 760	\$ 44,234
Interest on cash and investments	1,777	121,491	6	123,274
Servicing revenues	23,007	-	-	23,007
Gain on sale of loans	-	16,228	-	16,228
Other revenues	5,864	-	1,963	7,827
Net increase in the fair value of investments	-	50,811	-	50,811
Total operating revenues	30,758	231,894	2,729	265,381
OPERATING EXPENSES:				
Interest	93	116,207	1	116,301
Salaries and benefits	17,005	-	-	17,005
General operating expense	5,496	762	997	7,255
Loan servicing fees	-	2,395	-	2,395
Amortization of other mortgage servicing rights	15,440	-	-	15,440
Bond issuance expenses	-	7,176	-	7,176
Net provision for loan losses	-	2,314	-	2,314
Depreciation and amortization of capital assets	1,245	-	-	1,245
Total operating expenses	39,279	128,854	998	169,131
OPERATING (LOSS) INCOME	(8,521)	103,040	1,731	96,250
TRANSFERS IN (OUT)	5,469	(18,136)	12,667	-
CHANGE IN NET POSITION	(3,052)	84,904	14,398	96,250
NET POSITION—Beginning of year	52,044	401,981	60,375	514,400
NET POSITION—End of year	\$ 48,992	\$ 486,885	\$ 74,773	\$ 610,650

UTAH HOUSING CORPORATION

COMBINING STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2025 (In thousands)

	General Operating Fund	Single-Family Mortgage Program Funds	Housing Development Fund	Total
CASH FLOWS FROM OPERATING ACTIVITIES:				
Cash received from interest on loans receivable	\$ 110	\$ 42,185	\$ 807	\$ 43,102
Cash received from payments on loans receivable	(27)	112,142	9,360	121,475
Cash received from loan servicing revenues	23,007	-	-	23,007
Cash received from other revenues	5,898	-	1,963	7,861
Cash received from sale of loan securities	-	1,460,586	2,517	1,463,103
Purchase of loans receivable	-	(1,620,343)	(13,422)	(1,633,765)
Purchase of mortgage servicing rights	(20,849)	-	-	(20,849)
Cash payments for servicing fees	-	(2,395)	-	(2,395)
Cash payments for general operating expenses	(7,405)	(696)	(1,208)	(9,309)
Cash payments to employees for salaries and benefits	(16,331)	-	-	(16,331)
Net cash provided (used) in operating activities	(15,597)	(8,521)	17	(24,101)
CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES:				
Proceeds from bonds payable	-	924,448	-	924,448
Proceeds from revolving credit agreement	-	62,977	-	62,977
Proceeds from notes payable	-	-	7	7
Principal paid on bonds payable	-	(143,763)	-	(143,763)
Principal paid on revolving credit agreement	-	(45,646)	-	(45,646)
Principal paid on notes payable	(27)	(10,776)	(1)	(10,804)
Interest paid on bonds, notes, and revolving credit	(116)	(93,440)	-	(93,556)
Cash payments for bond issuance costs	-	(7,176)	-	(7,176)
Cash payments for interest rate swap agreements	-	(4)	-	(4)
Transfers	5,469	(18,136)	12,667	-
Net cash provided by non-capital financing activities	5,326	668,484	12,673	686,483
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES—Purchases of capital assets	(95)	-	-	(95)
Net cash used in capital and related financing activities	(95)	-	-	(95)
CASH FLOWS FROM INVESTING ACTIVITIES:				
Purchase of investments	-	(2,294,356)	-	(2,294,356)
Proceeds from sales and maturities of investments	-	1,431,088	67	1,431,155
Interest and dividends on investments	1,777	116,521	-	118,298
Net cash provided (used) in investing activities	1,777	(746,747)	67	(744,903)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(8,589)	(86,784)	12,757	(82,616)
CASH AND CASH EQUIVALENTS—Beginning of year	23,015	122,071	33,647	178,733
CASH AND CASH EQUIVALENTS—End of year	\$ 14,426	\$ 35,287	\$ 46,404	\$ 96,117

(Continued)

UTAH HOUSING CORPORATION

COMBINING STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2025 (In thousands)

	General Operating Fund	Single-Family Mortgage Program Funds	Housing Development Fund	Total
RECONCILIATION OF OPERATING INCOME (LOSS) TO NET CASH USED IN OPERATING ACTIVITIES:				
Operating income (loss)	\$ (8,521)	\$ 103,040	\$ 1,731	\$ 96,250
Adjustments to reconcile operating income to net cash used in operating activities:				
Depreciation and amortization	1,245	-	-	1,245
Interest on cash and investments	(1,777)	(121,491)	-	(123,268)
Net increase in the fair value of investments	-	(50,811)	-	(50,811)
Interest expense	93	116,207	1	116,301
Bond issuance costs	-	7,176	-	7,176
Provision for loan losses	-	2,314	-	2,314
Changes in operating assets and liabilities:				
(Increase) decrease in other receivables	-	(92,043)	(969)	(93,012)
(Increase) decrease in other assets	(877)	144	(305)	(1,038)
(Increase) decrease in mortgage servicing rights	(5,410)	-	-	(5,410)
Increase (decrease) in other liabilities	(1,709)	26,943	(441)	24,793
Increase (decrease) in net pension asset/liability	1,101	-	-	1,101
Increase (decrease) deferred inflows/outflows for pensions	354	-	-	354
Increase (decrease) in unearned revenue	(96)	-	-	(96)
Total adjustments	<u>(7,076)</u>	<u>(111,561)</u>	<u>(1,714)</u>	<u>(120,351)</u>
NET CASH PROVIDED (USED) IN OPERATING ACTIVITIES	<u>\$ (15,597)</u>	<u>\$ (8,521)</u>	<u>\$ 17</u>	<u>\$ (24,101)</u>

UTAH HOUSING CORPORATION

SINGLE-FAMILY MORTGAGE PROGRAM FUNDS COMBINING STATEMENT OF NET POSITION AS OF JUNE 30, 2025 (In thousands)

	General Obligation	Single Family Mortgage Loans	2000 Indenture Series	2009 Indenture Series
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES				
CURRENT ASSETS:				
Cash and cash equivalents	\$ -	\$ 11,867	\$ 693	\$ 557
Investments (partially restricted)	39,941	3,629	4,714	1,848
Current maturities of loans receivable (partially restricted)	11,771	78	515	557
Interest receivable	3,674	14	96	52
Derivative assets	-	-	-	-
Other current assets	2	-	-	-
Total current assets	55,388	15,588	6,018	3,014
NONCURRENT ASSETS:				
Investments (partially restricted)	84,865	-	7,672	112
Loans receivable (partially restricted)	418,953	438	10,827	11,726
Total noncurrent assets	503,818	438	18,499	11,838
Total assets	559,206	16,026	24,517	14,852
DEFERRED OUTFLOWS OF RESOURCES:				
Accumulated change in fair value of hedging derivatives	377	-	-	-
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	\$ 559,583	\$ 16,026	\$ 24,517	\$ 14,852
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION				
CURRENT LIABILITIES:				
Interest payable	\$ -	\$ -	\$ 520	\$ 78
Line of credit payable	17,331	-	-	-
Current maturities of bonds payable	-	-	11,135	240
Current maturities of notes payable	-	-	-	-
Other current liabilities	9	-	-	-
Total current liabilities	17,340	-	11,655	318
NONCURRENT LIABILITIES:				
Bonds payable	-	-	16,073	4,740
Notes payable	-	-	-	-
Derivative instruments	377	-	-	-
Other liabilities	52,678	-	-	-
Interfund payable (receivable)	163,305	(52,448)	1,529	17
Total noncurrent liabilities	216,360	(52,448)	17,602	4,757
Total liabilities	233,700	(52,448)	29,257	5,075
DEFERRED INFLOWS OF RESOURCES:				
Accumulated increase in fair value of hedging derivatives	-	-	-	-
NET POSITION:				
Restricted—expendable	-	68,474	-	9,777
Unrestricted	325,883	-	(4,740)	-
Total net position	325,883	68,474	(4,740)	9,777
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	\$ 559,583	\$ 16,026	\$ 24,517	\$ 14,852

(Continued)

UTAH HOUSING CORPORATION

SINGLE-FAMILY MORTGAGE PROGRAM FUNDS COMBINING STATEMENT OF NET POSITION AS OF JUNE 30, 2025 (In thousands)

	2012 Indenture Series	2019 Indenture Series	CRA Participation	MBS Series	Total
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES					
CURRENT ASSETS:					
Cash and cash equivalents	\$ (2,534)	\$ (564)	\$ 13,753	\$ 11,515	\$ 35,287
Investments (partially restricted)	26,794	148,186	-	-	225,112
Current maturities of loans receivable (partially restricted)	4,343	1,581	2,237	-	21,082
Interest receivable	1,568	8,350	223	3,206	17,183
Derivative assets	-	1,281	-	-	1,281
Other current assets	3	9	-	2	16
Total current assets	30,174	158,843	16,213	14,723	299,961
NONCURRENT ASSETS:					
Investments (partially restricted)	11,416	1,505,981	-	980,870	2,590,916
Loans receivable (partially restricted)	230,452	97,457	51,386	-	821,239
Total noncurrent assets	241,868	1,603,438	51,386	980,870	3,412,155
Total assets	272,042	1,762,281	67,599	995,593	3,712,116
DEFERRED OUTFLOWS OF RESOURCES					
Accumulated decrease in fair value of hedging derivatives	-	1,419	-	-	1,796
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	\$ 272,042	\$ 1,763,700	\$ 67,599	\$ 995,593	\$ 3,713,912
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION					
CURRENT LIABILITIES:					
Interest payable	\$ 4,608	\$ 41,021	\$ 188	\$ 3,206	\$ 49,621
Line of credit payable	-	-	-	-	17,331
Current maturities of bonds payable	4,680	17,827	-	269,305	303,187
Current maturities of notes payable	-	-	21,703	-	21,703
Other current liabilities	68	45	2	105	229
Total current liabilities	9,356	58,893	21,893	272,616	392,071
NONCURRENT LIABILITIES:					
Bonds payable	239,037	1,642,493	-	853,966	2,756,309
Notes payable	-	-	32,619	-	32,619
Derivative instruments	-	1,419	-	-	1,796
Other noncurrent liabilities	-	-	5	-	52,683
Interfund payable (receivable)	204	-	-	(122,339)	(9,732)
Total noncurrent liabilities	239,241	1,643,912	32,624	731,627	2,833,675
Total liabilities	248,597	1,702,805	54,517	1,004,243	3,225,746
DEFERRED INFLOWS OF RESOURCES					
Accumulated increase in fair value of hedging derivatives	-	1,281	-	-	1,281
NET POSITION:					
Restricted—expendable	23,445	59,614	13,082	(8,650)	165,742
Unrestricted	-	-	-	-	321,143
Total net position	23,445	59,614	13,082	(8,650)	486,885
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	\$ 272,042	\$ 1,763,700	\$ 67,599	\$ 995,593	\$ 3,713,912

UTAH HOUSING CORPORATION

SINGLE-FAMILY MORTGAGE PROGRAM FUNDS COMBINING STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION FOR THE YEAR ENDED JUNE 30, 2025 (In thousands)

	General Obligation	Single Family Mortgage Loans	2000 Indenture Series	2009 Indenture Series
OPERATING REVENUES:				
Interest on loans receivable	\$ 22,074	\$ 26	\$ 550	\$ 598
Interest on cash and investments	5,730	3,135	614	74
Gain on sale of loans	16,228	-	-	-
Net increase in the fair value of investments	933	113	1	1
Total operating revenues	44,965	3,274	1,165	673
OPERATING EXPENSES:				
Interest	223	-	1,048	174
General operating expense	422	58	7	17
Loan servicing fees	1,115	2	41	43
Bond issuance expenses	-	-	-	-
Net provision (recovery) for loan losses	1,429	-	(2)	(1)
Total operating expenses	3,189	60	1,094	233
OPERATING INCOME (LOSS)	41,776	3,214	71	440
TRANSFERS (OUT) IN	(21,500)	-	-	-
CHANGE IN NET POSITION	20,276	3,214	71	440
NET POSITION—Beginning of year	305,607	65,260	(4,811)	9,337
NET POSITION—End of year	\$ 325,883	\$ 68,474	\$ (4,740)	\$ 9,777

(Continued)

UTAH HOUSING CORPORATION

SINGLE-FAMILY MORTGAGE PROGRAM FUNDS

COMBINING STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

FOR THE YEAR ENDED JUNE 30, 2025

(In thousands)

	2012 Indenture Series	2019 Indenture Series	CRA Participation	MBS Series	Total
OPERATING REVENUES:					
Interest on loans receivable	\$ 11,566	\$ 5,245	\$ 3,305	\$ -	\$ 43,364
Interest on cash and investments	1,442	70,094	-	40,402	121,491
Gain on sale of loans	-	-	-	-	16,228
Net decrease in the fair value of investments	265	29,997	-	19,501	50,811
Total operating revenues	13,273	105,336	3,305	59,903	231,894
OPERATING EXPENSES:					
Interest	9,052	66,907	2,485	36,318	116,207
General operating expense	52	36	-	170	762
Loan servicing fees	715	280	199	-	2,395
Bond issuance expenses	456	6,720	-	-	7,176
Net provision (recovery) for loan losses	(1)	900	(11)	-	2,314
Total operating expenses	10,274	74,843	2,673	36,488	128,854
OPERATING INCOME (LOSS)	2,999	30,493	632	23,415	103,040
TRANSFERS IN (OUT)	483	2,881	-	-	(18,136)
CHANGE IN NET POSITION	3,482	33,374	632	23,415	84,904
NET POSITION—Beginning of year	19,963	26,240	12,450	(32,065)	401,981
NET POSITION—End of year	\$ 23,445	\$ 59,614	\$ 13,082	\$ (8,650)	\$ 486,885



Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of *Financial* Statements Performed in Accordance with *Government Auditing Standards*

To the Audit Committee
Utah Housing Corporation
West Valley City, Utah

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the business-type activities of Utah Housing Corporation (the Corporation), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Corporation's basic financial statements, and have issued our report thereon dated September 19, 2025.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Corporation's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Corporation's internal control. Accordingly, we do not express an opinion on the effectiveness of the Corporation's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Corporation's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "Erik Bailly LLP". The signature is written in a cursive, flowing style.

Salt Lake City, Utah
September 19, 2025



**Independent Auditor's Report on the Compliance for the Major HUD Program and on Internal Control
Over Compliance Required by the *Consolidated Audit Guide for Audits of HUD Programs***

To the Audit Committee
Utah Housing Corporation
West Valley City, Utah

Report on Compliance for the Major HUD Program

Opinion on the Major HUD Program

We have audited Utah Housing Corporation's (the Corporation) compliance with the compliance requirements described in the *Consolidated Audit Guide for Audits of HUD Programs* (the Guide) that could have a direct and material effect on the Corporation's major U.S. Department of Housing and Urban Development (HUD) program for the year ended June 30, 2025. Utah Housing Corporation's major HUD program and the related direct and material compliance requirements are as follows:

Name of Major HUD Programs	Direct and Material Compliance Requirements
Governmental National Mortgage Association guaranteed mortgages (Ginnie Mae)	Federal Financial Reports, Eligibility to Issue Mortgage-Backed Securities, Review of Custodial Documents, Issuer's Administration of Pooled Mortgages, Review of Monthly Accounting Reports and Quarterly Submissions, Securities Marketing and Trading Practices, Adjusted Net Worth, Institutionwide Capital Requirements, Liquid Asset Requirement

In our opinion, Utah Housing Corporation complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on its major HUD program for the year ended June 30, 2025.

Basis for Opinion on the Major HUD Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS), the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), and the Guide. Our responsibilities under those standards and the Guide are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Corporation and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for the major HUD program. Our audit does not provide a legal determination of the Corporation's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Corporation HUD programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and to express an opinion on the Corporation's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Guide will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Corporation's compliance with the requirements of the major HUD program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Guide, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Corporation's compliance with the compliance requirements referred to above and performing such other procedures as we consider necessary in the circumstances.
- Obtain an understanding of the Corporation's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Guide, but not for the purpose of expressing an opinion on the effectiveness of the Corporation's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a compliance requirement of a HUD program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a compliance requirement of a HUD program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a compliance requirement of a HUD program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit, we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that have not been identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of the Corporation's internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Guide. Accordingly, this report is not suitable for any other purpose.



Salt Lake City, Utah
September 19, 2025